A Study on Ratio Analysis
AT VISAKA INDUSTRIES LIMITED

Submitted in partial fulfilment of PGDM

PGDM BATCH 2024-26

VIGNANA JYOTHI

VJIM
VIGNANA JYOTHI INSTITUTE OF MANAGEMENT
ESTD: 1993

Submitted to

Dr. K. Subramani,

Sr. Assistant Professor

Submitted by

Mittapalli Lakshmi Naga Kavya
(Roll No. 241357)

A Study on Ratio Analysis

Submitted in partial fulfilment of PGDM



PGDM BATCH 2024-25

Submitted to

Dr. K. Subramani,

Sr. Assistant Professor.

Submitted by

Mittapalli Lakshmi Naga Kavya
(Roll No. 241357)

Exam Coordinator

Director's Office Seal

Student Declaration

I, Mittapalli Lakshmi Naga Kavya, (Roll No. 241357) hereby declare that the project titled "Ratio Analysis" is an original work undertaken by me, under the guidance of Dr. K. Subramani. The report submitted is a Bonafide work of my own efforts and has not been submitted to any institute/university/conference or published before.

Signature of the student
Mittapalli Lakshmi Naga Kavya

Date:

Place:

TAMASOMA JYOTIRGAMAYA
VIGNANA JYOTHI

VJIM
VIGNANA JYOTHI INSTITUTE OF MANAGEMENT
ESTD: 1993

VISAKA INDUSTRIES LIMITED
/3,"Visaka Towers", S.P. Road, Secunderabad-500003, AP
Phone: 27813833, 27813835; Fax: +91(04)27813837
Email: vil-hyderabad@eth.net; Web Page: www.visaka.in

TO WHOMESOEVER IT MAY CONCERN

This is to certify that Ms. Mittapalli Lakshmi Naga Kavya, (Roll No. 241357) of PGDM has successfully completed Summer Internship Program for a period of 9 weeks with VISAKA INDUSTRIES LIMITED, HYDERABAD from May 5, 2025 to July 5, 2025. As per our assessment, her performance has been satisfactory/~~good/excellent~~ during the training program. We wish her all the very best for her future endeavors.

Signature:



R.V. Prakash,
Corporate guide
General Manager (Costing)

Date: July 5, 2025
Place: Hyderabad

Faculty Guide Certificate

I Dr. K. Subramani certify that Ms. Mittapalli Lakshmi Naga Kavya from Batch 2024-25 bearing Roll No.241357 has done the work under my guidance and the report presented is genuine to the best of my knowledge.

Signature:

Date:

turnitin

Digital Receipt

This receipt acknowledges that Turnitin received your paper. Below you will find the receipt information regarding your submission.

The first page of your submissions is displayed below.

Submission author:	Mittapalli Lakshmi Naga Kavya
Assignment title:	Paper Submissions
Submission title:	A Report on Ratio Analysis
File name:	251357_Kavya_Ratio_Analysis_Final.docx
File size:	204.83K
Page count:	53
Word count:	11,680
Character count:	67,476
Submission date:	13-Aug-2025 10:04AM (UTC+0530)
Submission ID:	2719795900



A Report on Ratio Analysis

Executive Summary

Key outcomes of the project include:

• First significant result or discovery

• Second major result or finding

Copyright 2025 Turnitin. All rights reserved.

A Report on Ratio Analysis

ORIGINALITY REPORT

16%	14%	7%	6%
SIMILARITY INDEX	INTERNET SOURCES	PUBLICATIONS	STUDENT PAPERS

PRIMARY SOURCES

1	fastercapital.com Internet Source	3%
2	visaka.co Internet Source	1%
3	Submitted to Alliance University Student Paper	1%
4	www.coursehero.com Internet Source	1%
5	finimpact.com Internet Source	1%
6	pt.slideshare.net Internet Source	<1%
7	pdfcoffee.com Internet Source	<1%
8	de.slideshare.net Internet Source	<1%
9	patelinfra.com Internet Source	<1%
10	docshare.tips Internet Source	<1%
11	elibrary.tucl.edu.np Internet Source	<1%
12	ijsrem.com Internet Source	<1%

www.midcaps.in

Acknowledgement

I, **Mittapalli Lakshmi Naga Kavya**, the student, would like to express my deepest gratitude to everyone who made my summer internship project a truly enriching and rewarding experience.

First and foremost, I extend my sincere thanks to **Visaka Industries Limited** for providing me with the opportunity to work on real-world challenges and gain valuable industry exposure. The trust and responsibility bestowed upon me have significantly contributed to my professional growth.

I am especially grateful to my mentors, supervisors, and the entire team who guided me with patience and encouraged me to think critically and creatively. Your support, feedback, and willingness to share your expertise have been instrumental in enhancing my learning.

I would also like to thank my faculty **Dr. K. Subramani at VIGNANA JYOTHI INSTITUTE OF MANAGEMENT** and **Mr. R V Prakash, General Manager at Visaka Industries Ltd.,** for preparing me to take on this challenge with confidence. The academic foundation empowered me to translate theoretical knowledge into practical skills during this internship.

This experience has not only strengthened my skills but also broadened my perspectives, and I am thankful for every interaction, lesson, and opportunity I encountered along the way.

I look forward to carrying these learnings into my future endeavours and hope to stay connected with everyone who made this journey so memorable.

Thank you once again!

Name of the Student: Mittapalli Lakshmi Naga Kavya

TAMASOMA JYOTIRGAMAYA
VIGNANA JYOTHI

VJIM
VIGNANA JYOTHI INSTITUTE OF MANAGEMENT
ESTD: 1993

VISAKA INDUSTRIES LIMITED
3,"Visaka Towers", S.P. Road, Secunderabad-500003, AP
Phone: 27813833, 27813835; Fax: +91(04)27813837
Email: vil-hyderabad@eth.net; Web Page: www.visaka.in

JOINING REPORT OF SUMMER INTERNSHIP PROGRAM

Ms. Mittapalli Lakshmi Naga Kavya bearing Roll No.241357 from Batch 2024-25, a student of Vignana Jyothi Institute of management, Bachupally, Hyderabad-500090 has been given the permission to do her summer training program at our organization for the period of 9 weeks from May 5, 2025 to July 5, 2025 under the guidance of Mr. R.V. Prakash, General Manager (Costing).

Name of the Company: Visaka Industries Limited

Address: 1-8-303/69/3, Visaka Towers, S.P. Road, Secunderabad – 500 003

Date of Joining: May 5, 2025

Tel No. 40 - 2781 3833, 040 - 2781 3835,

Area Assigned: Finance

Topic of the Project: Ratio Analysis

Name of the Corporate Guide: Mr. R.V. Prakash

Signature:

Prakash
(R.V. PRAKASH)

VISAKA INDUSTRIES LTD. * SEC'BAD. *

Table of Contents

CHAPTER NO.	TITLE	PAGE NO.
1	**INTRODUCTION**	
	1.1 Introduction	1-13
	1.2.1 Company Analysis	13-18
	1.2.2 Industry Analysis	19
	1.3 Market Analysis	20
	1.4 Financial Analysis	21
	1.5 Operational Analysis	21
	1.6 Marketing Analysis	21
	1.7 Human Resource Analysis	21-22
	1.8 Sustainable and Corporate Social Responsibility Analysis	23
	1.9 Risk Analysis	23
2	**METHODOLOGY**	
	2.1 Project Objectives	24
	2.2 Scope of the Study	24
	2.3 Sources of Data	24
	2.4 Tools used for the Analysis	24
	2.5 Limitations of the Project	24-25
3	**DATA ANALYSIS AND INTERPRETATION**	
	3.1. Data Analysis	27-42
	3.2 Interpretations	
4	**PROJECT OUTCOME**	
	4.1 Findings	44-45
	4.2 Conclusion	45
	4.3 Learnings from the Project	46
	4.4 Suggestions, if any	47
	4.5 Relevance of the Project to the Company	47
	Bibliography	
	Annexure	

List of Tables

Sl. No.	Particulars	Page No.
1)	Current Ratio	27
2)	Quick Ratio	28
3)	Absolute Liquidity Ratio	29
4)	Debt Equity Ratio	30
5)	Solvency Ratio or Total Liabilities Ratio	31
6)	Interest Coverage Ratio	32
7)	Fixed Asset Turnover Ratio	33
8)	Current Assets Turnover Ratio	34
9)	Total Assets Turnover Ratio	35
10)	Inventory Turnover Ratio	36
11)	Debtors' Turnover Ratio	37
12)	Working Capital Turnover Ratio	38
13)	Return on Capital Employed Ratio	39
14)	Return on Equity Ratio	40
15)	Earnings Per Share	41
16)	Net Profit Margin	42

List of Figures/Diagrams

Sl. No.	Particulars	Page No.
1)	Current Ratio	27
2)	Quick Ratio	28
3)	Absolute Liquidity Ratio	29
4)	Debt Equity Ratio	30
5)	Solvency Ratio or Total Liabilities Ratio	31
6)	Interest Coverage Ratio	32
7)	Fixed Asset Turnover Ratio	33
8)	Current Assets Turnover Ratio	34
9)	Total Assets Turnover Ratio	35
10)	Inventory Turnover Ratio	36
11)	Debtors' Turnover Ratio	37
12)	Working Capital Turnover Ratio	38
13)	Return on Capital Employed Ratio	39
14)	Return on Equity Ratio	40
15)	Earnings Per Share	41
16)	Net Profit Margin	42

Executive Summary

As a part of the PGDM curriculum at **VIGNANA JYOTHI INSTITUTE OF MANAGEMENT**, Bachupally, Hyderabad, I successfully completed my summer internship project at Visaka Industries Limited, Hyderabad during the period from **May 5, 2025 to July 5, 2025**. This internship provided me with a practical platform to apply my academic learning in a real-world business environment and gain valuable industry exposure.

The primary objective of my project is on "Ratio Analysis". Over the course of the internship, I conducted extensive research, engaged in data analysis, collaborated with cross-functional teams, and developed actionable recommendations.

Key outcomes of the project include:

Significant results of the project are as follows:

• First significant result or discovery

Ratio analysis is a powerful tool for evaluating a company's financial health and performance. For ratios to be helpful, they must be compared to historical data and industry norms. Ratio interpretation can be complicated by company-specific factors and industry standards, making it difficult to draw reliable conclusions. There are no ideal rivals operating in the same sector as Visaka Industries Limited, and industry standards are not known.

The proportions of the products produced by different companies who have claimed to be rivals are not comparable to perfection. Everest Industries Limited and HIL Limited (formerly Hyderabad Industries Limited) are competitors.

In contrast to Everest Industries Limited, which manufactures and trades roofing products, boards and panels, and other building products and accessories, HIL Limited's businesses include roofing solutions, building solutions, pipes and fittings, putty, construction chemicals, architectural coatings, and flooring solutions. Pre-engineered, intelligent steel buildings and its accessories are manufactured and erected as part of steel buildings.

• Second major result or finding

Visaka Industries Limited is preparing comparative financial statements and ratio analyses with peers' financial statements and presenting them to the company's board of directors, despite the fact that it is impossible to compare financial statements with those of peers.

• **Third significant outcome or contribution**

I gained more knowledge of the construction products and accessories business and improved my strategic analysis skills throughout the internship.

I am grateful to Dr. K. Subramani for his mentorship and advice, as well as to the Visaka Industries Limited team for their assistance, which enabled me to successfully finish my project. Additionally, I am grateful to VIGNANA JYOTHI INSTITUTE OF MANAGEMENT for providing me with the necessary skills and knowledge to take on this task.

This internship experience has significantly impacted my professional development as a future company leader and has been crucial in bridging the gap between theoretical concepts and industry practice.

TAMASOMA JYOTIRGAMAYA
VIGNANA JYOTHI

VJIM
VIGNANA JYOTHI INSTITUTE OF MANAGEMENT
ESTD: 1993

CHAPTER – 1

INTRODUCTION

1.1 Introduction of Ratio Analysis

By analysing the connections between different financial statement items, ratio analysis is a powerful tool for evaluating a company's financial performance. A technique for analysing a company's income statement and balance sheet to determine its profitability, operational effectiveness, and liquidity is ratio analysis. There are no metrics involved. It is a technique for examining a variety of business financial data. A key component of fundamental equity analysis is ratio analysis. Investors and other business professionals use a variety of ratios to forecast a company's financial health and possible future expansion. In order to evaluate a company's profitability, liquidity, efficiency, and solvency, ratio analysis compares line-item data from its financial statements. In order to compare a company's performance against that of another company in the same industry, it can track that performance over time.

NEED OF THE STUDY

"Finance" is the fundamental tenet of all economic activity in today's focused economy. The company's financial performance determines its success to a certain extent. Raising money and making the best use of it need careful, well-considered financial management.

The operational outcomes and business efficacy of the organization are greatly impacted by its financial performance. Production, marketing, and other functional aspects of the business are impacted by its financial performance, which in turn impacts the company's growth risk and profitability. One common financial analysis tool is ratio analysis. The ratios do this by showing the link in a more meaningful way, which enables us to make inferences. Ratio analysis makes sense since it provides related and comparable data.

Meaning of Ratio Analysis:

The quantitative relationship between two numbers is represented by a ratio. In plain English, a ratio is a number expressed in terms of another number, and it may be computed by dividing two numbers. It shows how two integers relate to one another. One effective method for financial analysis is ratio analysis. It refers to the regular use of ratios to analyse financial accounts in a way that determines a company's strengths and weaknesses as well as its historical performance and current situation.

1. Selecting the right financial statement numbers for the analysis's goal.
2. Awaiting the proper ratios from the values above

3. A comparison between the estimated ratios and those of the same company in the position, the ratios derived from forecasted financial statements, the ratios of other companies, or the ratios of the industry the company operates in.

4. Ratio interpretation

ADVANTAGES OF RATIO ANALYSIS

1) Financial statements are made simpler:

Financial statements are easier to understand when ratio analysis is used. Ratio uncovers the full narrative of the company's financial status change.

2) Makes it easier to compare firms:

Ratio analysis provides numbers for comparing firms. Ratio identifies the causes of both successful and unsuccessful businesses. Additionally, they reveal inexpensive and overvalued good and weak companies.

3) Facilitates comparison inside the firm:

Additionally, ratio analysis offers a way to compare the performance of different companies operating in the same industry. Making conclusions about their past effectiveness and their future performance is aided by the ratio.

4) Help with the planning:

If data for different time periods is available, ratio analysis helps with long-term planning and forecasting about the company (or) industry and creates specific standards that can indicate future success or failure. Future problems and trends will be shown by the ratio.

The "Ratio" can help management with its main responsibilities, which include communication, development, control, coordination, planning, forecasting, and organizing.

CLASSIFICATION OF RATIO ANALYSIS

1) Profit and loss account Ratio's

a) Gross profit Ratio

b) Operating Ratio

c) Net profit Ratio

d) Stock Turnover Ratio

e) Covering Ratio

a) Interest covering Ratio

b) Fixed Dividend Covering Ratio

2) Balance Sheet Ratio's:

a) Current Ratio

b) Liquidity Ratio

c) Debt Equity Ratio

d) Proprietary Ratio

e) Capital Gearing Ratio

f) Total Assets to Net Worth Ratio

3) Inter statements Ratio's

a) Return on investment Ratio

b) Return on Proprietor's Ratio

c) Net Profit to Assets Ratio

d) Creditors Turnover Ratio

e) Debtors Turnover Ratio

f) Earnings Per Share

APPLICATION

1. Internal Management Performance Evaluation and Trend Analysis:

Evaluating Profitability: To determine how well a business generates profits from its sales, assets, and shareholder investment, management utilizes profitability measures, such as gross profit margin, net profit margin, return on equity, and return on assets. It highlights areas for price strategy improvement, cost control, and general operational improvement.

Operational Efficiency Measurement: Efficiency ratios, such as inventory turnover, accounts receivable turnover, and asset turnover, demonstrate how well a business uses its resources to produce income. Management can use this ratio to identify inefficiencies in sales, manufacturing, and resource management.

Monitoring Liquidity: Liquidity measures, such the quick and current ratios, let management assess the company's ability to meet its short-term financial obligations. This is critical for preserving working capital, making timely supplier payments, and averting cash flow problems.

Examining Solvency/Financial Stability: Solvency statistics tells how financially stable a company is over the long run and how well-equipped it is to pay off long-term debt. Management uses these ratios to control financial risk and keep the capital structure balanced. Finding Trends and Forecasting: Businesses can spot favourable or unfavourable trends in their financial performance by monitoring ratios over time. For financial planning, organization, goal-setting, budgeting, and performance forecasts, this historical data is essential.

2. Investment Choices Made by Analysts and Investors:

Measuring Investment Attractiveness: To assess a company's market value, growth prospects, and investment attractiveness, investors and financial analysts employ a variety of ratios, especially market ratios [such as the price-to-earnings (P/E) ratio, dividend yield, and earnings per share (EPS)]. Comparison of Companies: By using ratio analysis, investors can assess the performance and financial health of other businesses operating in the same industry, revealing areas of strength or weakness that could cause a company to lag behind its competitors. Making well-informed financial decisions (buy, hold, or sell) is aided by this uniformity. Forecasting Future Performance: By examining historical ratios and industry patterns, investors can estimate anticipated future dividends and earnings. These have a big impact on valuation.

3. Evaluation of Creditworthiness by Lenders and Creditors:

Assessing Repayment Capability: In order to assess a company's ability to repay borrowed money and interest payments, banks and other lenders also rely significantly on liquidity and solvency ratios.

Establishing Guidelines: As part of a loan agreement, lenders typically establish predefined financial ratio thresholds that borrowers must adhere to.

4. Making decisions and strategic planning:

Finding the Strengths and Weaknesses: By using ratio analysis, managers may determine which aspects of a company's finances require improvement or how to capitalize on its current strengths. Risk management: Businesses can identify, quantify, and take proactive measures to control commercial and financial risks by looking at a variety of ratios.

5. Additional Uses:

Ratios are employed in mergers and acquisitions (M&A) to assess the profitability and synergies of possible acquisition targets. Valuation: Ratios are also important when

determining a company's worth for a variety of reasons, including sales, IPOs, and strategic alliances. Tax obligations: Accurately determining tax obligations can be aided by financial ratio analysis. Ratio analysis rationally breaks down intricate financial data into digestible metrics, giving a wide range of users and capabilities a thorough understanding of an organization's financial health and operational effectiveness.

1. **LIQUIDITY RATIOS**

Current Ratio:

The firm's short-term solvency is gauged by its current ratio. It includes current assets for every ₹1.00 in current liabilities. The firm has more current assets than current claims against it if the ratio is greater than 1.

$$\text{Current Ratio:} \quad \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Cash assets and assets that can be converted into cash within a year or less, such as marketable security debtors and prepayments, are considered current assets. All debts that are due within a year are considered current liabilities. The balance sheet of creditors, accumulated expenses, short-term bank loans, income tax obligations, and long-term debt maturing during the current year are all considered current liabilities.

2) Quick ratio:

Another name for it is the Acid Test/Liquid Ratio. This ratio determines percentage of quick/ liquid current assets to current liabilities. When an asset may be turned into cash now or very soon without losing value, it is considered to be liquid. Liabilities that must be paid off quickly are referred to as liquidity liabilities. Current liabilities will not be increased by the bank overdraft under credit facilities.

$$\text{Quick Ratio:} \quad \frac{\text{Quick (Liquid) Assets}}{\text{Liquid Liabilities}}$$

Occasionally, a variant of the provided formula is also suggested. Only those liabilities that are truly due within a year are considered in the denominator, as opposed to the total amount of current liabilities.

$$\text{Quick Ratio:} \quad \frac{\text{Quick (Liquid) Assets}}{\text{Current Liabilities}}$$

ABSOLUTE LIQUID RATIO

Another name for this ratio is the cash ratio, or super quick ratio. Only the company's absolute liquidity is taken into consideration by this ratio. Cash, bank balances, and marketable securities make up the absolute liquid assets.

$$\text{Absolute Liquid Ratio:} \quad \frac{\text{Absolute Liquid Assets}}{\text{Current Liabilities}}$$

(or)

Cash ratio = Cash + Bank + Short Term Securities / Current liabilities

2. Leverage Ratios

Important financial indicators that shed light on a company's capital structure, debt levels, and capacity to pay its debts are leverage ratios. By calculating the ratio of debt to equity, leverage ratios assist in evaluating how well a company's operations balance risk and return.

The Debt Equity Ratio shows how heavily a firm is financed by debt by comparing its total liabilities to the equity held by its shareholders. Investors can spot warning signs like excessive leverage, which raises the danger of insolvency, particularly during recessions, by examining these ratios. Other elements including credit ratings, liquidity, flexibility, and earnings volatility are all impacted by leverage. When times are good, prudent debt utilization can increase returns; nevertheless, high leverage burdens businesses with high interest payments and leaves little margin for error in the event that conditions worsen. Leverage ratios are therefore a crucial tool for fundamental analysis, enabling investors to assess capital structure risks and determine the financial soundness of a business.

Leverage Ratios can be categorized into five types as follows –

Debt Equity Ratio:

The Debt Equity Ratio is a financial statistic which permits a comparison between the debt owing by the company to outsiders and the cash given by the shareholders. This ratio is used to calculate the percentage of funds produced through equity and the percentage of debt obtained from outside sources. Funds borrowed by the company with the intention of repaying them with interest are referred to as debt. It determines how much debt the business is using

in relation to equity. In general, a lower debt-to-equity ratio indicates a stronger financial situation for the business. An optimal debt-to-equity ratio is 2:1.

Debt comprises all bank long term loans, Specialised financial institutions, government etc. and the shareholders equity comprises paid up share capital, reserves plus preference shareholders equity etc.

Significance:

The debt-to-equity ratio is a crucial indicator of a company's solvency. Since it helps them determine whether the company is likely to file for bankruptcy soon, creditors use the debt equity ratio to choose whether or not to grant credit to the business. The debt equity ratio is a tool used by investors to assess a company's ability to produce a return on their investment.

$$\text{Debt-Equity Ratio:} \quad \frac{\text{Outsiders Funds}}{\text{Shareholders' Funds}}$$

Debt-to-Total Capital Ratio

One financial indicator used to evaluate a company's financial health is the debt to total capital ratio. It calculates the percentage of debt utilized to fund a business's operations relative to the overall amount of capital used. One important indicator of financial leverage is the debt to total capital ratio. It measures how much a business depends on debt financing as opposed to equity or other types of funding. The ratio offers important information about the entity's risk profile. A low ratio denotes a more conservative capital structure, whereas a high ratio implies a significant reliance on debt, which may be riskier. Lenders, investors, and management can use this ratio to help them make financial decisions.

Significance

When evaluating potential investments in a company, investors utilize the debt to capital ratio as a screening technique. While a low ratio can suggest financial stability, a large ratio might suggest possible financial crisis. It is an important consideration in risk evaluations and investment choices.

$$\text{Debt-to-Total Capital Ratio:} \quad \frac{\text{Long term debt}}{\text{Permanent Capital}}$$

Solvency Ratio:

One performance statistic that aids in assessing a company's financial health is the solvency ratio. Lenders, possible investors, and suppliers can all benefit from the measure. The ratio assesses the company's financial soundness by contrasting its profits with its liabilities. As a measure of financial strength, a greater or stronger solvency ratio is ideal. A low ratio indicates possible future financial difficulties.

$$\text{Solvency Ratio:} \quad \frac{\text{Total Liabilities to outsiders}}{\text{Total Assets}}$$

Interest Coverage Ratio:

It is a crucial sign of a business's sound financial standing and capacity to make enough money to pay interest. The ratio indicates the number of times the company's earnings (before taxes and interest) may be used to pay interest. A company's financial health is typically indicated by an interest coverage ratio of two or higher. It implies that the business can easily pay its interest and has a substantial margin of safety.

$$\text{Interest Coverage Ratio:} \quad \frac{\text{EBIT}}{\text{Interest Expenses}}$$

2. Activity Ratio:

Financial measurements called activity ratios are used to assess how well a business manages its assets and liabilities in order to produce income. Turnover ratios are another name for the activity ratio. The Ratio offers information about how well a company uses its resources to produce sales and cash flow as well as its operational efficiency.

FIXED ASSETS TURNOVER RATIO:

The Fixed Asset Turnover Ratio is an efficiency ratio that calculates the return on investment for a company's fixed assets by comparing net sales to fixed assets. Land, buildings, furniture, plant, and equipment are examples of fixed assets. It establishes how well a company's machinery and equipment generate revenue. Unchangeable Asset Creditors and investors use the turnover ratio to determine how well a company's equipment generates revenue to pay back the loan that was used to buy the equipment.

$$\text{Fixed Assets Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Fixed Assets}}$$

Current Assets Turnover Ratio:

The current assets turnover ratio shows the frequency with which current assets were sold during a given time frame. A better percentage of sales is indicated by a greater assets turnover ratio. The greater the current assets turnover ratio, the more capable the business is of producing sales. The company's performance in terms of net sales is of importance to creditors. This ratio is regarded as a standard for evaluating the calibre of the business's sales.

$$\text{Current Assets Turnover Ratio:} \quad \frac{\text{Cost of Sales}}{\text{Current Assets}}$$

It should be noted that over or under investment in current assets can have an indirect bearing on the solvency position of the business in question.

INVENTORY TURNOVER RATIO:

One important accounting indicator for assessing how well a company sells and manages its stock is the inventory turnover ratio. The Inventory Turnover Ratio calculates the frequency with which a company sells and replaces its stock over a given time frame, often a year. It shows how efficiently things are run. Strong sales and effective inventory management are indicated by a greater inventory turnover ratio. A lower percentage can indicate overstocking or poor demand. When opposed to luxury goods or auto dealerships, retail industries often have a greater turnover ratio.

$$\text{Inventory Turnover Ratio:} \quad \frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}$$

The Inventory Turnover Ratio helps company to make better decision on pricing, manufacturing, marketing and purchasing. It is one of general common efficiency ratios that companies can use to measure how effectively they use their assets.

Debtors' Turnovers Ratio:

The debtors' turnover ratio demonstrates how well a business collects its accounts receivable and how frequently those accounts are turned into cash over the course of a fiscal year. A greater ratio implies that the business has efficiency in collecting dues and controlling its credit sales, whereas a lesser ratio implies inefficiency in collections or problems with credit policies.

The ratio also assists in cash budgeting, as it gives information regarding cash generated through customers based on total sales. It also indicates the liquidity of receivables, i.e. how soon after credit sales a company can expect to have cash.

$$\text{Debtors' Turnover Ratio:} \quad \frac{\text{Credit Sales}}{\text{Average Debtors}}$$

Working Capital Turnover Ratio:

By dividing net sales by average working capital, the Working Capital Turnover Ratio evaluates how well a business uses working capital during operations. The business makes more money per unit of working capital if the ratio is higher.

$$\text{Working Capital Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Net Working Capital}}$$

Effective management of current assets and liabilities is indicated by a greater working capital turnover ratio, which indicates that the business generates more revenue per working capital unit. Inefficient use of working capital to boost sales is indicated by a low working capital turnover ratio.

Profitability Ratio:

The ability of a business to generate revenue relative to its expenses is assessed using profitability ratios, which also take into account the various components of the business's balance sheet and profit and loss account when analysing its performance. It aids stakeholders in evaluating the entity's capacity to generate income through cost containment, capital investments, asset use, etc. Among the profitability ratios are the return on investment, operating profit ratio, net profit ratio, and gross profit ratio. A corporation and its stakeholders can ascertain the level of profitability of the business with the use of profitability ratios. It is a criterion that influences stock prices, growth, and future expansion and is used by investors to make investment decisions. Financial profitability ratios aid in comparing businesses in the same sector to one another and forecast future growth prospects based on current performance. As a result, it demonstrates how effectively the company uses the capital of its shareholders as well as its diverse assets to make money and enhance its worth. Businesses employ a variety of financial profitability ratios to monitor their operational success. EBITDA Margin, Net Profit Margin, and Gross Profit Margin are the three main ratios.

Gross Profit Margin

A financial indicator that offers important information about a company's competitive position and underlying profitability is the gross profit margin. The percentage of every rupee of sales revenue that eventually makes it to the bottom line after direct costs are subtracted is known as the gross profit margin. The percentage of income left over after subtracting expenses related to the production and sale of goods and services is known as the gross profit margin. The gross profit margin provides information about a company's pricing power, competitive position, and capacity for long-term profitable growth. Businesses with larger gross margins are better able to pay for fixed expenses, make investments in new capacity and products, and distribute profits to shareholders.

$$\text{Gross Profit Margin: } \frac{\text{Cost of Goods Sold}}{\text{Sales}} \text{ OR } \frac{\text{Gross Profit}}{\text{Sales}}$$

Net Profit Margin

A financial measure called net profit margin gives investors important information about the profitability and operational effectiveness of a company. The amount of net income a business makes from every rupee of total sales is measured by its net profit margin Investors can use this ratio to compare the financial performance of businesses in various industries. It shows how well management regulates the pricing and expenses of goods and services. A growing net margin indicates better operation execution, whereas a decreasing margin may indicate that earnings are being squeezed by rising costs. Investors are able to assess the business's operational effectiveness and profitability. It compares total revenue to net profits after taxes.

$$\text{Net Profit Margin: } \frac{\text{Net Income}}{\text{Revenue}}$$

Operating Expense Ratio

An essential financial indicator that calculates a company's operating costs as a percentage of its net sales is the operating expense ratio. The profitability and operational efficiency of a business are revealed by the operating expense ratio. Operating costs shouldn't increase in tandem with sales as a business expands. As sales rise, a declining ratio shows that the business is becoming more efficient. A rising ratio can indicate declining profit margins. All things considered, the operating expenses ratio is a helpful gauge of a business's financial stability

and capacity to turn a profit from sales. Managers may reduce expenses, raise productivity, and eventually improve the bottom line by keeping an eye on this measure.

$$\text{Operating Expense Ratio:} \quad \frac{\text{Other Operating expenses}}{\text{Sales}}$$

Return on Investment

One indicator of an investment's profitability is return on investment.

Return on Investment assesses the efficiency of investments by comparing them to earnings.

A financial ratio called return on investment is used to determine how much an investor would profit from their investment in comparison to the cost of the investment. It is most frequently calculated by dividing net revenue by the investment's initial capital cost. The benefit obtained increases with the ratio. Investors will decide whether to seize an opportunity or pass it up. For the investor, a positive or negative return on investment (ROI) can be a crucial indicator of the investment's worth. As a result, an investor can distinguish between assets that are performing well and those that are not.

$$\text{Return on Investment:} \quad \frac{\text{Profit before Interest and Taxation}}{\text{Capital employed}}$$

Return on Earnings

One helpful indicator of a company's financial performance is return on equity. The company's ability to generate profits from equity capital is indicated by its return on earnings. A higher ROE shows how well a company uses the equity of its owners, which makes it a desirable investment. and how the management of the company is using equity capital to grow the company.

$$\text{Return on Earnings:} \quad \frac{\text{Profit after Tax}}{\text{Net Worth}}$$

Earnings Per Share

A key financial metric that gauges a company's profitability is earnings per share (EPS), which expresses the amount of profit received by each outstanding share of common stock. An important metric for investors, a greater EPS typically indicates a more lucrative company. negative EPS indicates that the business is having financial difficulties and is not turning a profit that covers its costs. The company's net profit is divided by the total number of outstanding shares to determine earnings per share.

Earnings per share can also be used to assess how profitable a common shareholder's investment is.

$$\text{Earnings Per Share:} \quad \frac{\text{Profit after Tax}}{\text{Number of shares}}$$

Dividend Per Share

A financial ratio known as dividend per share shows the annualized dividend that a business pays out on a per-share basis. All forms of dividend payments are taken into account when calculating the dividend per share. The distribution of a business's post-tax profits to common and preferred shareholders as a kind of shareholder compensation is known as a dividend in corporate finance.

Price Earnings Ratio

The price of a company's shares in relation to its earnings per share is measured by the price to earnings ratio. The P/E ratio aids in determining the stock's relative value. Comparing a company's valuation to its past performance and to that of other companies in its industry is helpful.

$$\text{Price Earnings Ratio:} \quad \frac{\text{Market price per equity share}}{\text{Earnings Per Share}}$$

It is better if the Pric Earnings Ratio is higher. The management needs to look into the factors for the decline in the Price Earnings Ratio.

1.2.1. COMPANY ANALYSIS

VISAKA INDUSTRIES LIMITED

Dr. G. Vivek Venkatswamy established Visaka Industries Limited, a significant manufacturing firm in Hyderabad, Telangana, in 1981. At its Patancheru factory, the company began manufacturing corrugated fiber cement sheets in 1985. With a strong emphasis on building materials, textiles, and renewable energy solutions, Visaka has developed into a diversified business throughout the years. The foundation of Visaka is its building products sector, which provides a range of materials for environmentally friendly constructions. The company has an annual capacity of around 802,000 tonnes for cement roofing sheets and 239,750 tonnes for fiber cement boards. Its Vnext product line, which consists of boards, planks, and drywall panels, is marketed as an environmentally responsible substitute for conventional materials and is made to meet the demands of contemporary construction. These items demonstrate Visaka's

broad market presence by reaching clients through a vast network of more than 7,000 dealers throughout India. In addition to building materials, Visaka has a robust textile business that uses Airjet spinning technology to create synthetic mixed yarn. With the largest collection of MURATA Twinjet spinning machines in the world, its Nagpur facility can produce about 10,000 tonnes of yarn annually. This sector contributes significantly to the company's earnings and serves both the home and foreign textile markets. Visaka's ATUM solar roofing technology is among its most innovative initiatives. This integrated solar roof offers a hybrid solution for green buildings by combining the advantages of solar energy generation with conventional roofing. ATUM places Visaka at the forefront of environmentally friendly technology in building and emphasizes the company's dedication to environmental care.

During the fiscal year 2024–2025, the company's total revenue was ₹ 1,54,886.52 lakhs. In the five years leading up to the fiscal year that ended on March 31, 2025, the median revenue was ₹1,46,365.40 lakhs. The highest revenue during that time was ₹1,65,758.82 lakhs, which also happened to be the highest revenue during the fiscal year 2022–2023, while the lowest revenue was ₹1,15,479.48 lakhs during the fiscal year 2020–21.

Dr. G. Vivek Venkatswamy, a former Member of Parliament and medical graduate, is the chairman and founder of Visaka Industries. Under the leadership of Saroja Gaddam, who has served as Managing Director since 2009, the business has upheld a reputation for integrity, staff commitment, and smart expansion. By emphasizing technological advancement, sustainable development, and value addition for stakeholders, Visaka aims to establish itself as a progressive player in India's industrial sector. With over 7,000 dealers spread across India, Visaka Industries Limited boasts a PAN India distribution network in addition to 14 production facilities and 13 marketing offices. Visaka is now a Green Pro Certified (IGBC) organization and a sustainable enterprise.

Corporate Social Responsibility

As a corporate citizen, Visaka Industries Limited has always led the way in giving back to the community. Through a number of charity initiatives for different societal segments, Visaka Industries Limited made a substantial contribution to society prior to the enactment of the CSR law. In 2000, Visaka Industries Limited established the Visaka Charitable Trust. The trust's main activities include healthcare, education, and water provision. Since its founding, it has carried out CSR initiatives in and around its manufacturing facilities spread throughout India. The company has been steadily growing and consistently paying dividends to its stockholders for the past 40 years.

Current operations of the Company

Visaka Industries is a multi-product/location firm, currently involved in the manufacturing of building products, reinforced building board and synthetic blended yearn.

The current production capacity of the company is as follows –

Product	Installed Capacity	Financial Year		
		2024-25	2023-24	2022-23
		Capacity Utilisation (%)		
Cement roofing sheets	8,48,000 Mts.	91	95	98
Fibre cement boards and panels	292000 Mts.	79	72	96
Synthetic Yarns	45 machines	58	75	95
V-Panels	29750 Mts.	54	53	67

a) **Cement Roofing Sheets (Visaka / Shakti Brands):** with seven plants spread across Andhra Pradesh, Tamil Nadu, Karnataka, West Bengal, Odissa, Uttar Pradesh, and Maharashtra, the company has an 18% market share (Pan India), placing it among the top two cement roofing sheet manufacturers in the country and accounting for 57% of its total revenue.

b) With five manufacturing facilities spread across the states of Telangana, Maharashtra, Haryana, Tamilnadu, and West Bengal, the company holds a 33% market share (PAN India) and generates 28% of its overall income from V-Next Products, which include fiber cement boards and panels. The biggest producer and distributor of fiber cement boards in India is Visaka.

The Company takes pride in having contributed to the construction of the landmark new Indian Parliament building in New Delhi, which was opened in May 2023. This famous national building received 3,00,000 square feet of V-Next eco-friendly boards from the company.

c) AUTUM

In 2018, Visaka introduced the ATUM solar roof, a ground-breaking advancement in renewable energy. ATUM is an integrated solar roofing system that combines the ability to generate renewable energy with the functioning of a conventional roof. The United States, South Africa, and India granted the company patents for ATUM. Cement-based integrated solar panels from Visaka Industries provide superior heat protection over traditional roofs without sacrificing visual appeal. Compared to a traditional solar roof, ATUM generates a greater amount of electricity and uses a far smaller amount of land.

Synthetic Yarn: The company's "Wonder Yarn" plant in Nagpur, which accounts for 14% of its overall sales, has an 80% market share.

Raw Material

Cement, fiber, and asbestos are the main basic materials used in the construction industry. While cement is purchased domestically and comes from sources such as Orient Cement, Rajashree Cements, and India Cements Limited, fiber is imported from sources such as Brazil's Sama Fibres and Canada's Chrysotile Inc. Viscose fibers, polyester, and acrylic are the main raw ingredients used to make yarn. Reliance Industries Limited, among others, is the supplier of polyester staple fiber to the company. South India Viscose Limited and Grasim Industries Limited are the suppliers of the viscose staple fiber. Fly ash, cement, silica, lime, and aluminum hydroxide are the main basic ingredients used to make reinforced building boards. Up to 8% of the raw material mixture is made up of different mixtures of cellulose, jeans pulp, and waste craft paper.

MARKETING:

Visaka Industries Limited has 28 own depots spread throughout all of India's major cities, 7,000 dealers nationwide, and 13 marketing offices. Grasim Industries, Raymonds Limited, Santogen Mills, Pantaloon, Indian Rayon Limited, Mikado Mills, and others are among the main clients. Synergies in raw materials and marketing networks with the Asbestos Cement Sheet business will help the fortified Building Board business. Sandwiched panels are used as the material for partitions. When compared to wood or masonry dividers, these panels are more affordable. These panels take comparatively less time to install and are simple to fix. Coastal Project Private Limited, Uranium Corporation, Soma Enterprises, TCS, Gujarat Ambuja Port, Eenadu Group, GMR, Punj Lloyd, Shapoorji Pallonji & Co., Ltd., and Larsen & Toubro are some of the company's principal clients.

DIIVISION WISE – FUTURE OUTLOOK:

Asbestos Cement Division: Due to higher prices, sales volume in 2024–2025 increased by 2% over the previous fiscal year, 2023–2024. It is anticipated that this division would perform better overall in 2025–2026 than it did the previous year.

Spinning Division: Compared to the corresponding prior fiscal year, the sales volume in this segment decreased by 14% in 2024–2025. In the upcoming year, this division will generate normal profits.

Building Boards Division: Compared to the previous fiscal year, the sales volume in this division decreased by 7% during the 2024–2025 fiscal year.

CREDIT RATING: CARE Ratings has examined a number of the company's credit facilities using the Audited Financial Results for the fiscal year ended March 31, 2024. CARE Ratings Limited observes that the reduction in overall performance is not company specific but it is industry phenomena.

FINANCIAL PERFORMANCE:

The performance of Visaka Industries Limited during the last 4 years has been as follows:

Standalone Audited Financial Results

(Rupees in lakhs)

Particulars	Financial year ended			
	2024-25	2023-24	2022-23	2021-22
Revenue	1,54,080.53	1,52,050.81	1,64,658.42	1,41,577.94
Other Income	805.99	1,084.80	1,100.40	988.65
Total Income	1,54,886.52	1,53,135.61	1,65,758.82	1,42,566.59
Expenditure	1,43,982.44	1,43,256.88	1,50,740.74	1,21,572.28
Profit before interest, taxation, depreciation and exceptional item	10,904.08	9,878.73	15,018.08	20,994.31
Depreciation and amortization	6,347.63	5,796.18	5,018.96	3,761.80
Profit before interest, taxation and exceptional item	4,556.45	4,082.55	9,999.12	17,232.51
Finance Cost -Interest	4,424.26	3,633.24	2,232.94	1,155.51
Profit before taxation and exceptional items	132.19	449.31	7,766.18	16,077.00
Exceptional items	-	-	320.61	-
Profit before taxation	132.19	449.31	7,445.57	16,077.00
Tax	117.81	195.84	1,966.53	4,224.21
Net Profit after tax	14.38	253.47	5,479.04	11,852.79
Equity Share Capital of Rs. 2/- each	1,728.10	1,728.10	1,728.10	1728.10*
Earnings per share value - Basic (Rs.)	0.02	0.29	6.34	71.26
Earnings per share value - Diluted (Rs.)	0.02	0.29	6.34	69.54

* Face value of Rs. 10/- each

***Note**: No. of shares as on 31.03.2023 - 1,72,80,952 shares (before split); As on 31.03.2024 and 31.03.2025 - 8,64,04,760 shares (after split of shares from face value of Rs. 10/- each Rs. 2/- each).

STANDALONE STATEMENT OF ASSETS AND LIABILITIES

(Rs. In lakhs)

Particulars	For the year 2024-25	For the year 2023-24	For the year 2022-23
I ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment ----------	71,036.77	73,704.69	61,392.49
(b) Right-of-use asset ----------	93.36	94.98	96.60
(c) Capital Work-In-Progress ----------	964.59	2,844.35	3,642.98
(d) Intangible Assets ----------	0.00	0.00	0.00
(e) Investments in subsidiaries ----------	1,430.50	1,430.50	1,174.00
(f) **Financial Assets**			
Investment ----------	0.00	0.00	0.00
Other financial assets ----------	76.20	81.24	66.12
(g) Other Non-current Asset ----------	2,667.38	2,609.23	7,337.73
Current Assets			
(a) Inventories ----------	36,482.77	42,531.75	38,056.80
(b) **Financial Assets**			
(i) Trade Receivables ----------	18,573.99	13,859.35	13,664.06
(ii) Cash and Cash Equivalents ----------	1,554.82	3,466.60	2,777.31
(iii) Other bank balances ----------	402.13	421.77	361.43
(iv) Loans- ----------	1,479.00	0.00	2,500.00
(v) Other financial assets ----------	361.51	276.15	245.73
(c) Current Tax Assets ----------	247.50	419.44	85.07
(d) Other Current Assets ----------	7,320.10	7,512.68	5,732.87
(e) Assets classified as held for sale ----------	234.47	0.00	0.00
TOTAL ASSETS	**1,42,925.09**	**1,49,252.73**	**1,37,133.19**
II EQUITY & LIABILITIES			
Equity			
(a) Equity Share Capital ----------	1,732.07	1,732.07	1,732.07
(b) Other Equity ----------	73,342.41	73,834.50	75,557.77
Total equity ----------	**75,074.48**	**75,566.57**	**77,289.84**
LIABILITIES			
Non-Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings ----------	16,785.56	20,694.33	16,359.42
(ii) Lease liabilities ----------	88.07	87.36	86.65
(iii) Other Financial Liabilities ----------	0.00	0.81	0.31
(b) Deferred Tax Liabilities (net) ----------	1,437.02	1,390.33	1,336.37
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings ----------	31,056.60	32,710.36	22,369.58
(ii) Lease liabilities ----------	6.18	6.12	6.06
(iii) Trade Payables			
(a) total outstanding dues of micro and small enterprises ..	418.62	400.51	331
(b) total outstanding dues other than (iii) (a) above …	7,995.08	8,498.67	8,944.51
(iv) Other financial Liabilities ----------	4,952.30	5,194.91	4,817.31
(b) Other Current Liabilities ----------	4,191.74	3,742.59	5,188.21
(c) Provisions ----------	919.44	960.17	403.93
TOTAL EQUITY AND LIABILITIES	**1,42,925.09**	**1,49,252.73**	**1,37,133.19**

1.2.2. INDUSTRY ANALYSIS

The word "cement" comes from the latin term "caementum", and that means chopped the stone. Cement refers to a substance, which will have a chemical reaction with water and become hard as a material of stone. Reinforcement of fiber cement makes the fiber cement material strong. Fiber cement allows to produce long-lasting and strong construction material. Fiber cement is an appropriate material for construction products like roofing and cladding.

MATERIAL HISTORY

By combining 90% cement and 10% asbestos fibers with water and passing the mixture through a cardboard machine, fiber-reinforced cement products were created in the late 1800s. Originally made of asbestos fibers, the material was widely used for sliding in residential buildings because of its affordability, resistance to freezing, watertightness, lightweight nature, and other beneficial qualities. Cellulose fiber, cement, and sand are the ingredients of fiber cement. Fiber cement siding is made out of horizontal planks that overlap to resemble imitation shingles and wooden sliding clapboard. In addition to being utilized as cladding, fiber cement sliding is also hand-made in sheet form and frequently used as a tile underlay for decks and bathrooms, as well as a soffit or eave lining. In higher fire areas, fiber cement sliding is employed not only as an outside sliding but also as an alternative to wooden boards and timber fasciae.

SPECIFICATIONS

In order to prevent waste on-site for residential floor, wall, and roof structures, the sizes of fiber cement sheets vary from manufacturer to manufacturer. A product's ability to withstand temperature changes and sound transmission improves with thickness and density. The Fiber cement cladding has very good durability and it is also fire resistance. Fiber cement is a main component of long-lasting building material.

1.3 MARKET ANALYSIS:

Visaka's marketing strategy has increasingly highlighted its commitment to sustainability and innovation. By promoting products like Atum and Vnext, the company aims to differentiate itself in a competitive market and appeal to a growing segment of eco-conscious consumers. However, the effectiveness of these marketing efforts in driving sales growth remains to be fully realized, given the recent financial downturn.

SWOT analysis (Strengths, Weaknesses, Opportunities, and Threats) of Visaka Industries Limited is as follows -

Strengths

1) Resistance of the product to water, fire and terminate
2) Price appeal compared to particle boards and plywood

Weaknesses:

1) The panels are produced using cement which increases the weight of the panels, Boards
2) People are not aware of the company's products which necessitates intensified marketing

Opportunities:

1) Increased shift away from wood and wood products
2) Rising demand for door usage in rural housing and fake ceilings in textile units
3) Export opportunity to Africa and Middle East

Threats:

1) The Company's fibre board segment experienced the impact of competition with many players expanding the capacities.
2) Lower realisation and severe competition from cheaper yarn both from China as well as domestic players

AWARDS

Visaka Industries Limited, during financial year 2024-25, received following awards –

1. Dadasaheb Phalke Indian Television Awards – 2025 "Indian Maestro of Creative Direction - 2025"-Vnext – #SayNoToPlywood & ATUM MAN. India's first-ever AI-based animated branding series, designed for Atum Solar Roof, featuring a futuristic eco-hero championing green mobility and clean energy;

2. Best Creative Branding Award 2024 for Vnext Go Green Sustainability - Awarded to Visaka Industries Limited;
3. Ugadi Nandi Puraskaram -2024, Best innovative brand award;
4. Best creative brand award 2024 for Go Green Sustainability, Thailand;
5. The GEEF Global Sustainability Champion Award 2024.

1.4. FINANCIAL ANALYSIS

The operational performance of Visaka Industries Limited during the financial year 2024-25 has seen a noteworthy improvement with a total revenue of ₹1,54,886.52 lakhs with a rise by 1.14% Year-on-Year compared to Rs. 1,53,135.61 lakhs during the financial year 2023-24. Nevertheless, Net profit dropped by 94%, showing a marginal profit of ₹14.38 lakhs during the financial year 2024-25 with an EPS of ₹0.02 as compared to ₹0.29 for the last financial year. Net sales are neutral at 0.98x and net profit margins rose from 2.68x to 2.96x. Interest coverage ratio of the company came down from 1.12x, to 1.03x depicting rising financial pressure.

1.5. OPERATIONAL ANALYSIS

Operationally, Visaka struggled in FY2024-25. The total expenses of the company rose, while finance costs went up from ₹ 3,633.24 lakhs to ₹ 4,424.26 lakhs owing to higher working capital needs. Trade receivables were raised from ₹ 13,859.35 as of 31/03/2024 to ₹18,573.99 lakhs as of 31/03/2025, and the debtor turnover cycle increased, which could indicate inefficiencies in collection.

1.6. MARKETING ANALYSIS

Visaka's promotional strategy has been increasingly emphasizing its focus on sustainability and innovation. In promoting products such as Atum and Vnext, the company seeks to gain a competitive edge in the market and attract an increasing number of environmentally conscious consumers. Yet the success of these promotional strategies in fuelling sales growth is yet to be fully attained, considering the recent economic slowdown.

1.7. HUMAN RESOURCES ANALYSIS

According to Visaka Industries Limited, its most valuable resource is its committed and driven workforce. The company recognizes employee accomplishment through a designed reward and recognition program, delivers competitive compensation, and provides decent working

conditions. The company wants to create an environment where each worker is valued and can reach their full potential. The organization encourages people to engage in extracurricular voluntary activities that foster creativity and learning.

1.8. SUSTAINABILITY AND CSR ANALYSIS

The Company framed Corporate Social Responsibility Policy in accordance with the provisions of the Companies Act, 2013 as amended which is available in Company's website.

Visaka Industries Limited is undertaking CSR activities in and around the work places to support their business objectives and provided facilities for the upliftment of weaker sections of society.

Suggest new sustainable practices or enhancements to current CSR initiatives.

Visaka Industries may donate funds to the identified NGOs identified by Central/State Government for well-being of the jawans, military etc.

The impact assessment is not being done by the Company now as this is not compulsory and will be accomplished, if necessary.

1.9. Risk Analysis

Objective & Approach

Visaka Industries Limited framed, adopted Risk Management Policy to identify the key risks impacting the business objectives for timely evaluation, reporting, monitoring and their mitigation. The said Policy is displayed at its website:

https://www.visaka.co/assets/website/files/investors/Risk_Management_Policy_30.10.2021.pdf .

Following are the main identified risks by the Company

Operational material efficiency Risk – Maintaining sufficient stock of qualitative raw material;

Air Quality Riak – Maintaining air quality in the surrounding areas of plants

Innovation – Spending on Research & Development for innovative products

Product Design – Developing new product design and its development

Disruption in supply of fibre – Secures annual contracts based on production plans

Foreign Exchange fluctuations – Formulated Hedging Policy

Cyber Security Threats

Visaka Industries Limited has framed and implemented a Policy named "Information Technology – Acceptable Use Policy" in regard to Cyber Security.

CHAPTER – 2

Methodology

2.1 PROJECT OBJECTIVES

The objectives of project are –

- To analyse financial performance of "Visaka Industries Limited" by employing the tools of "Ratio Analysis".
- To analyse factors affecting the financial performance of "Visaka Industries Limited" viz., liquidity position, accounts receivable, borrowing facilities, cost reduction strategy, inefficiencies in terms of both production processes and finances etc.
- To make inference based on the analysis of the study and to provide some helpful suggestions.

2.2 SCOPE OF THE STUDY

The report analyses the liquidity, financial leverage, operating efficiency and profitability of "VISAKA INDUSTRIES LIMITED" using three years financial statements.

2.3 SOURCES OF DATA

The data and information was collected from Secondary Data sources. The Secondary data was collected from the website of Visaka Industries Limited, books and various websites.

SECONDARY DATA:

The information for this project was gathered from the website of Visaka Industries Limited i.e. https://www.visaka.co/investors/financial_information/fn_annual_reports.

2.4. TOOLS USED FOR RATIO ANALYSIS

Using MS-Excel the following ratios were calculated, current Ratio, Quick Ratio, Absolute liquidity Ratio, Debt Equity Ratio, Solvency Ratio, Interest Coverage Ratio, Fixed Assets Turnover Ratio, Current Assets Turnover Ratio, Total Turnover Ratio, Inventory Turnover Ratio, Debts' Turnover Ratio, Working Capital Turnover Ratio, Return on Capital Employed Ratio, Return on Equity, Earnings Per Share, Net Profit Ratio.

2.5. PROJECT LIMITATIONS

Historical Data: Information used for Ratio Analysis is taken from past results, numbers that were published by Visaka Industries Limited which may not reflect the same in future performance of Visaka Industries.

Effects of inflation: Financial statements are being published periodically i.e. on quarterly basis and the numbers does not take inflation into consideration while preparing ratios. The numbers, accordingly, can not be compared without adjusting inflation.

Changes in accounting policies: Ratio analysis ignores changes in accounting policies, which can have a big impact on financial reporting. Usually, the financial statements' notes contain the changes that have been made.

Operational changes: A shift in supply chain strategy could result from a change in operational structure. As a result, the tactics used to market the goods may occasionally alter. If operational changes are not taken into account, the comparison measures could produce inaccurate conclusions about the company's performance and prospects.

Seasonal impacts: The inability to adapt ratio analysis to seasonal effects may result in incorrect interpretation since ratio analysis is limited in its ability to account for changes in seasonal effects.

Manipulation of financial statements: Management may inflate the figures to show good results than the actuals. Accordingly, Ratio Analysis will not reflect true health of the Company. Therefore, extensive due diligence must be taken for the potential manipulations before concluding Ratios.

CHAPTER - 3

3.1 DATA ANALYSIS AND

3.2 INTERPRETATION

3.1 &3.2 Data Analysis and Interpretation

Liquidity Ratios:

1. Current Ratio:

One financial indicator that assesses a company's capacity to meet its short-term liabilities with its short-term assets is the current ratio. It offers information on industry performance, investment potential, stability, liquidity, and creditworthiness. When evaluating the long-term financial viability of possible investment options, it is especially helpful. Current assets divided by current liabilities is how it is computed.

$$\text{Current Ratio:} \quad \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Table 1: CURRENT RATIO

Financial Year	Current Assets	Current Liabilities	Ratio
	(Rs. In Lakhs)		
2022-23	63,423.27	42,060.60	1.51
2023-24	68,487.74	51,513.33	1.33
2024-25	66,656.29	49,539.96	1.35

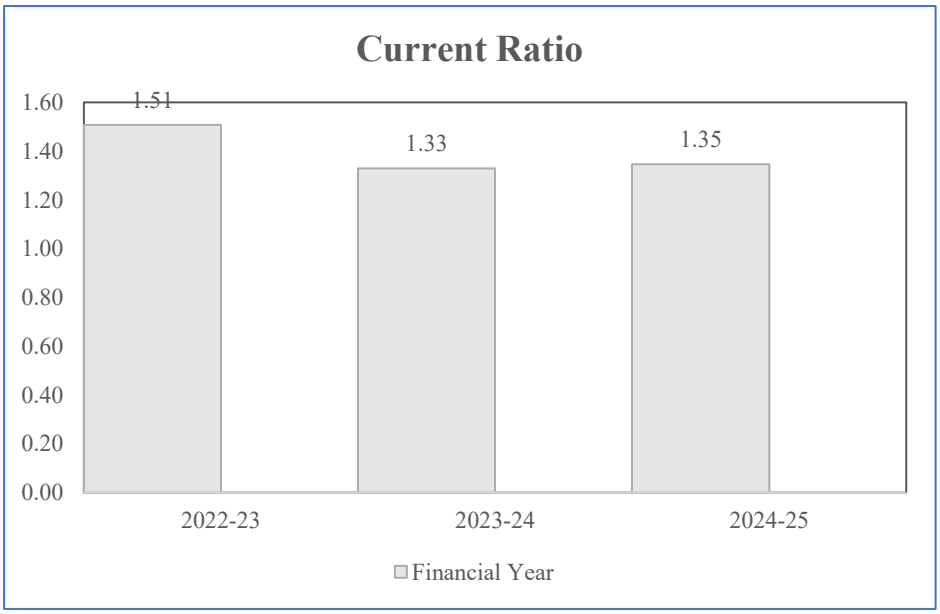


Figure 1: Current Ratio

Interpretation:

The above table shows that the current ratio for the fiscal year 2024–2025 was 1.35:1, which is better than the ratio of 1.33:1 for the fiscal year 2023–2024 and indicates a strong cash position to meet short-term expenses. The current ratio was 1.51:1 in the fiscal year 2022–2023, which was better than in 2023–2024 and 2024–2025.

Quick Ratio or Acid Test Ratio:

A financial indicator called the quick ratio assesses a company's capacity to settle its short-term and current debts using cash or quick assets. A corporation can meet its short-term obligations if its ratio is 1 or higher; if it is less than 1, it may find it difficult to do so.

$$\text{Quick Ratio:} \quad \frac{\text{Quick assets}}{\text{Current Liabilities}}$$

Table 2: QUICK RATIO

Financial Year	Quick Assets	Current Liabilities	Ratio
2022-23	16,802.80	42,060.60	0.40
2023-24	17,747.72	51,513.33	0.34
2024-25	20,530.94	49,539.96	0.41

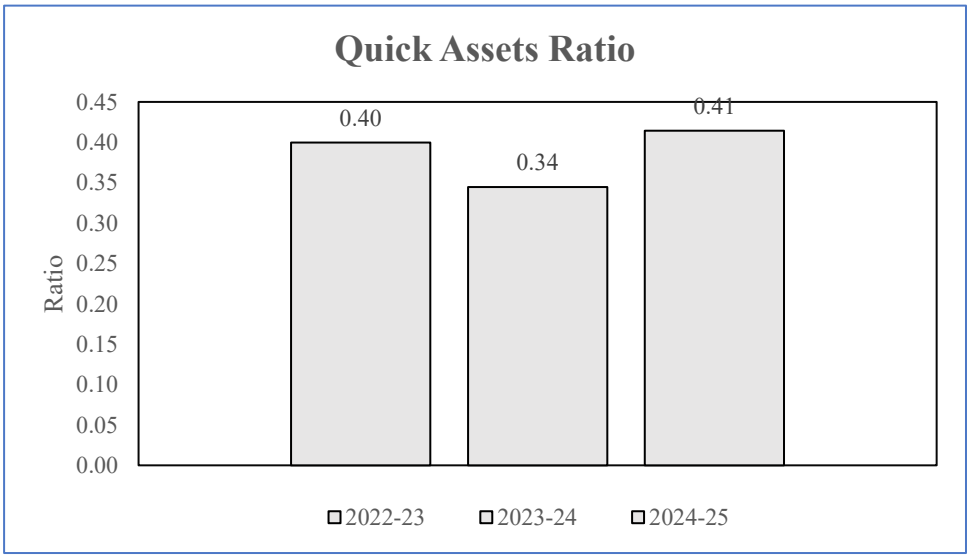


Figure 2: Quick Ratio

Interpretation:

As can be observed from the above table, Visaka Industries Limited's Quick Ratio increased from 0.41 in the fiscal year 2023–2024 to 0.34 in the fiscal year 2024–2025, but stayed at 0.40 in the fiscal year 2022–2023. The company has good creditworthiness in the industry, can easily pay off its current debts, and makes the most of its liquid assets.

3. Absolute Liquid Ratio:

A financial indicator known as the Absolute Liquid Ratio assesses a company's capacity to settle short-term debts with its most liquid assets, namely cash and cash equivalents. An Absolute Liquid Ratio of 0.5:1 is considered perfect for most of the companies.

$$\text{Absolute Liquidity Ratio:} \quad \frac{\text{Absolute liquid assets}}{\text{Current Liabilities}}$$

Table 3: ABSOLUTE LIQUIDITY RATIO

Financial Year	Absolute Quick Assets	Current Liabilities	Ratio
	(Rs. In Lakhs)		
2022-23	3,138.74	42,060.60	0.07
2023-24	3,888.37	51,513.33	0.08
2024-25	1,956.95	49,539.96	0.04

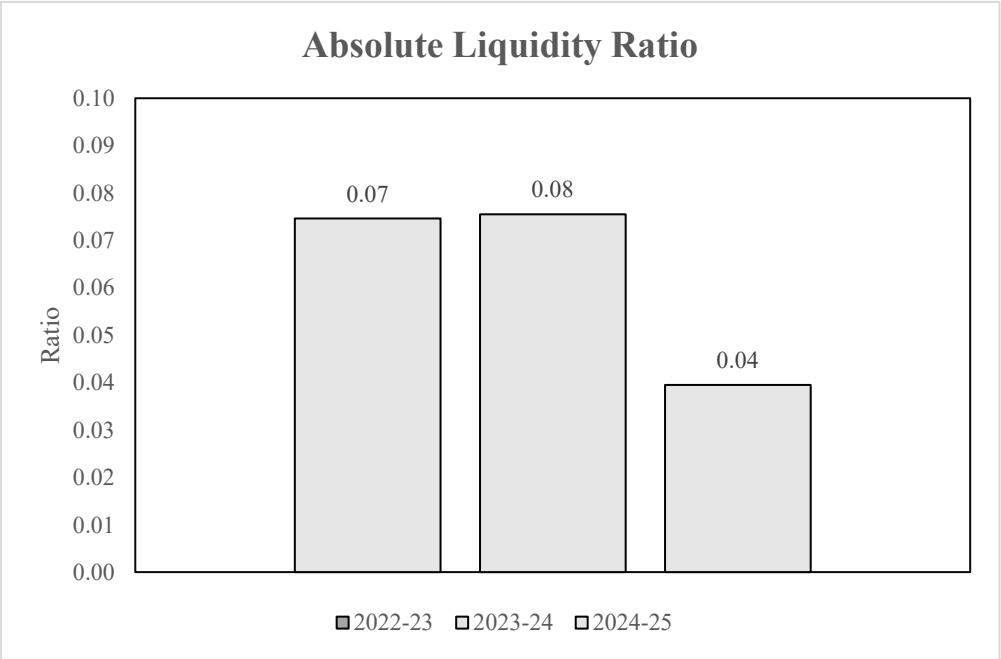


Figure 3: Absolute Liquidity Ratio

Interpretation:

The above table shows that the Absolute Liquid Ratio for the fiscal year 2024–2025 was only 0.4:1, which is lower than the ratio for the fiscal year 2023–2024, which was 0.8:1 compared to 0.07:1 for the fiscal year 2022–2023.

4. Debt Equity Ratio:

A financial indicator called the debt-to-equity ratio compares the total amount of debt owed by a corporation to the equity held by its shareholders. It is a crucial indicator of how well a business is funding its operations by balancing the use of debt as opposed to internal resources.

$$\text{Debt-Equity Ratio:} \quad \frac{\text{Outsiders Funds}}{\text{Shareholders' Funds}}$$

Table 4: DEBT EQUIT RATIO

Financial Year	Outsiders Funds	Shareholders' Funds	Ratio
	(Rs. In Lakhs)		
2022-23	59,843.35	77,289.84	0.77
2023-24	73,686.16	75,566.57	0.98
2024-25	67,850.61	75,074.48	0.90

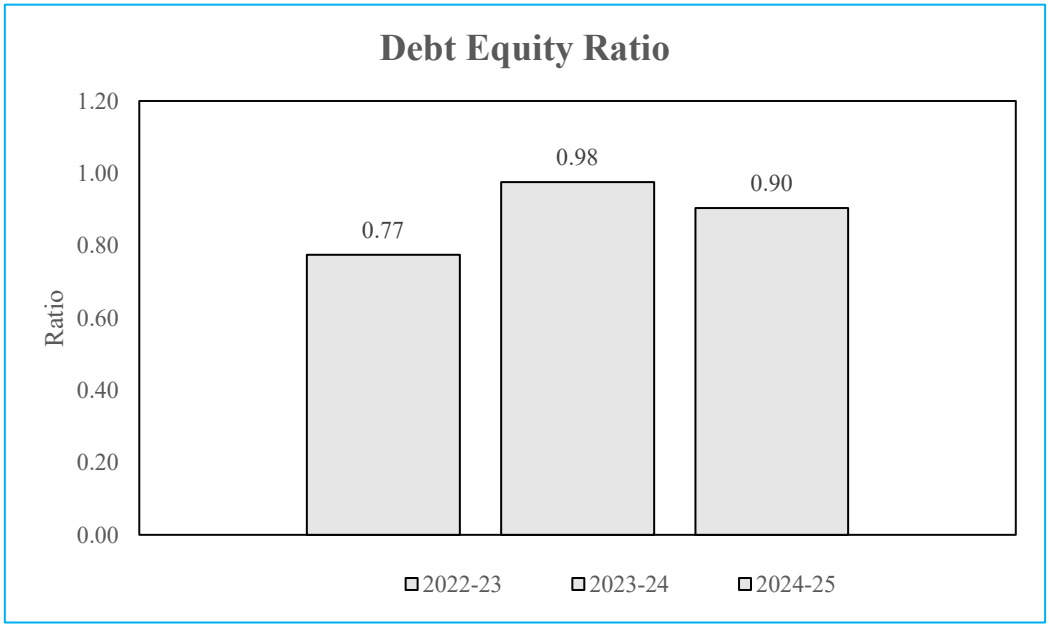


Figure 4: Debt Equity Ratio

Interpretation:

As can be seen from the above table, Debt Equity Ratio during the financial year 2024-25 is 0.90:1 which is above industry standards and marginally higher during the financial year 2023-24 with 0.98:1. The Debt Equity Ratio during the financial year 2022-23 was 0.77:1.

5. Solvency Ratio:

One important financial indicator that assesses a company's capacity to pay off its long-term debts and commitments is the solvency ratio. It gives information about a company's stability and financial health by indicating if its cash flow is enough to pay for its long-term obligations.

$$\text{Solvency Ratio:} \quad \frac{\text{Total liabilities to outsiders}}{\text{Total Assets}}$$

Table 5: SOLVENCY RATIO

Financial Year	Total Liabilities to Outsiders	Total Assets	Ratio
	(Rs. In Lakhs)		
2022-23	59,843.35	1,37,133.19	0.44
2023-24	73,686.16	1,49,252.73	0.49
2024-25	67,850.61	1,42,925.09	0.47

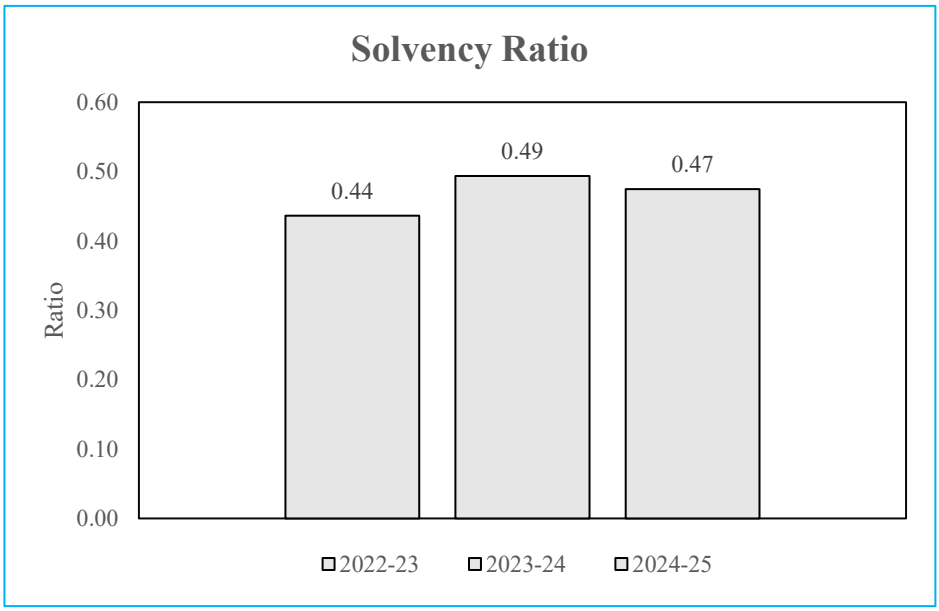


Figure 5: Solvency Ratio

Interpretation:

According to the following table, Visaka Industries Limited's solvency ratio for the fiscal year 2024–2025 was 0.47, compared to 0.49 for the fiscal year 2023–2024 and 0.44 for the fiscal year 2022–2023.

6. Interest Coverage Ratio:

The interest coverage ratio evaluates a company's capacity to promptly pay interest on its loans. It shows how well a business can handle taking on more debt. A business will undoubtedly be unable to make the principal payments on its debt if it is unable to pay the interest.

$$\text{Interest Coverage Ratio:} \quad \frac{\text{Earnings Before Interest and Tax}}{\text{Interest Expenses}}$$

Table 6: INTEREST COVERAGE RATIO

Financial Year	EBIT	Interest Exp	Ratio
	(Rs. In Lakhs)		
2022-23	9,999.12	2,232.94	4.48
2023-24	4,082.55	3,633.24	1.12
2024-25	4,556.45	4,424.26	1.03

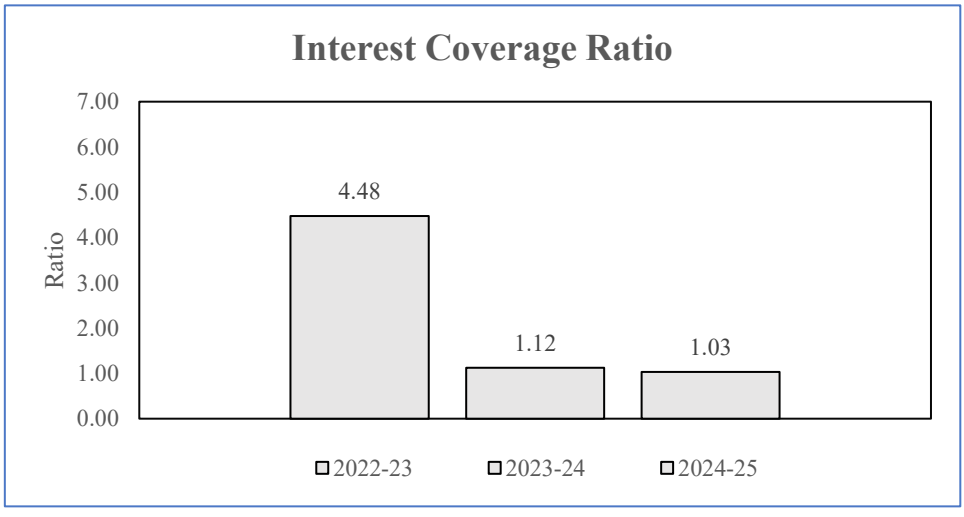


Figure 6: Interest Coverage Ratio

Interpretation:

As can be seen from the above table, Visaka Industries Limited has 1.03 times Interest Coverage Ratio during the financial year 2024-25 in comparison to 1.12 times during the financial year 2023-24 and 4.48 times during the financial year 2022-23.

7. Fixed Assets Turnover Ratio:

Assets That Are Fixed One efficiency ratio that analysts use to assess a company's overall effective utilization of its resources is the turnover ratio. It gauges how effectively fixed assets produce income. It shows how effectively management uses fixed investments to generate increasing amounts of revenue. Additionally, it gives investors, lenders, creditors, and others valuable information on how well and efficiently the business uses its fixed assets.

$$\text{Fixed Assets Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Fixed Assets}}$$

Table 7: FIXED ASSETS TURNOVER RATIO

Financial Year	Net Sales	Fixed Assets	Ratio
	(Rs. In Lakhs)		
2022-23	1,64,658.42	73,709.92	2.23
2023-24	1,52,050.81	80,764.99	1.88
2024-25	1,54,080.53	76,268.80	2.02

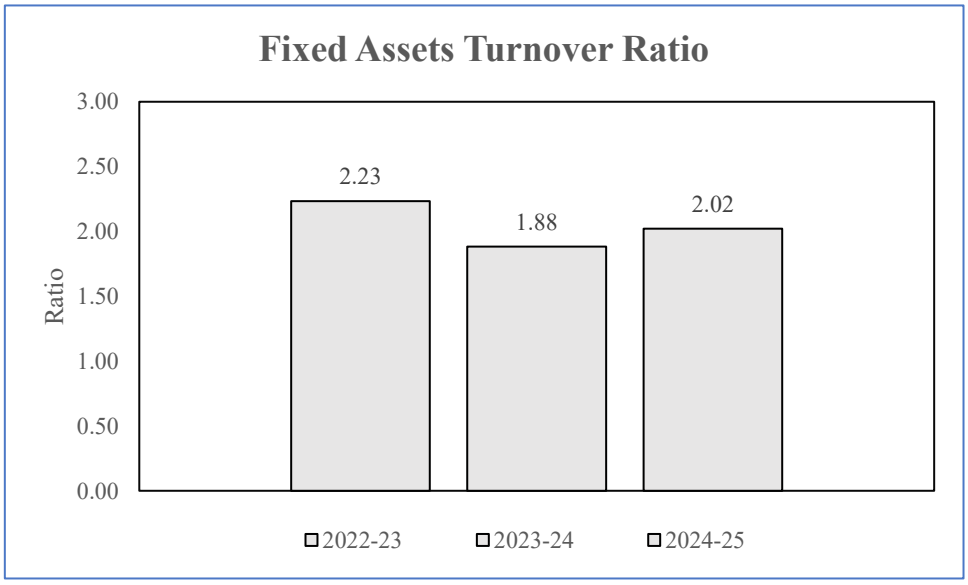


Figure 7: Fixed Assets Turnover Ratio

Interpretation:

The above table shows that the Fixed Assets Turnover Ratio for the fiscal year 2024–2025 was 2.02 times higher than 1.88 times for the fiscal year 2023–2024 and 2.23 times for the fiscal year 2022–2023. This suggests that the company has been demonstrating improved performance and use of fixed assets to increase sales efficiency.

8. Current Assets Turnover Ratio:

The Current Assets Turnover Ratio shows how frequently current assets are sold during a certain time frame. A better percentage of sales is indicated by a larger asset turnover. The greater the current asset turnover ratio, the more capable the business is of generating revenue. Since a greater current asset turnover ratio indicates that a business has solid fundamentals, creditors seek it out. The current assets turnover ratio is regarded as a measure of the caliber of the company's sales since it provides information on the quantity of net sales turnovers.

$$\text{Current Assets Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Current Assets}}$$

Table 8: CURRENT ASSET TURNOVER RATIO

Financial Year	Net Sales (Rs. In Lakhs)	Current Assets (Rs. In Lakhs)	Ratio
2022-23	1,64,658.42	63,423.27	2.60
2023-24	1,52,050.81	68,487.74	2.22
2024-25	1,54,080.53	66,656.29	2.31

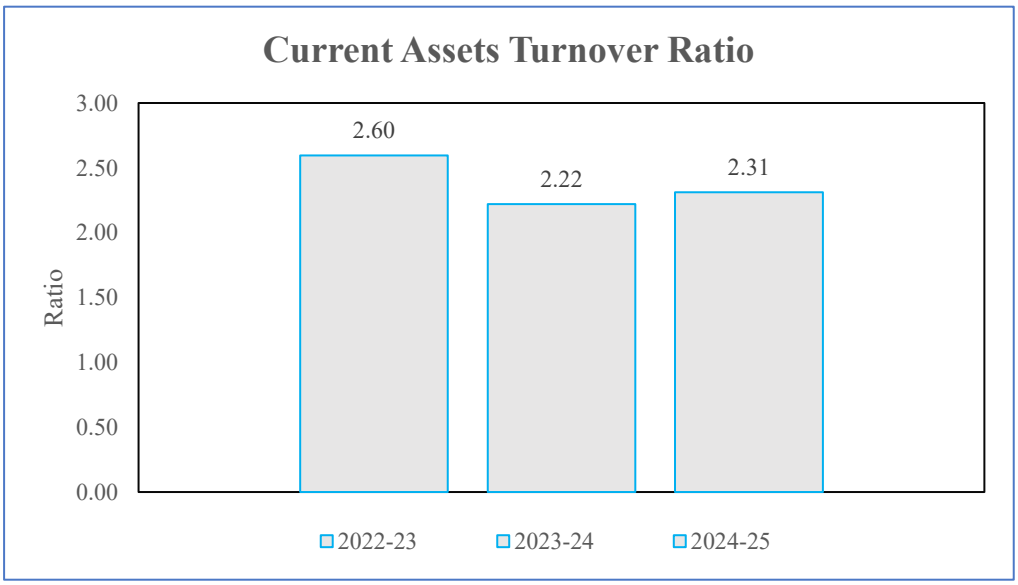


Figure 8: Current Assets Turnover Ratio

Interpretation:

The above table shows that the company's current assets were used efficiently during the 2024–25 fiscal year, as evidenced by the current assets turnover ratio of 2.31 times compared to 2.22 times during the 2023–24 fiscal year and 2.60 times during the 2022–23 fiscal year.

8. Total Assets Turnover Ratio:

The total amount of a company's net sales is compared to the total amount of assets required to produce the stated amount of net sales using an asset turnover ratio. Generally speaking, a higher ratio indicates that a business is making good use of its assets to produce its net sales or revenue.

$$\text{Total Assets Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Total Assets*}}$$

*Total Assets = Fixed Assets + Current Assets + Investments

Table 9: TOTAL ASSETS TURNOVER RATIO

Financial Year	Sales	Total Assets	Ratio
	(Rs. In Lakhs)		
2022-23	1,64,658.42	1,37,133.19	1.20
2023-24	1,52,050.81	1,49,252.73	1.02
2024-25	1,54,080.53	1,429,25.09	1.08

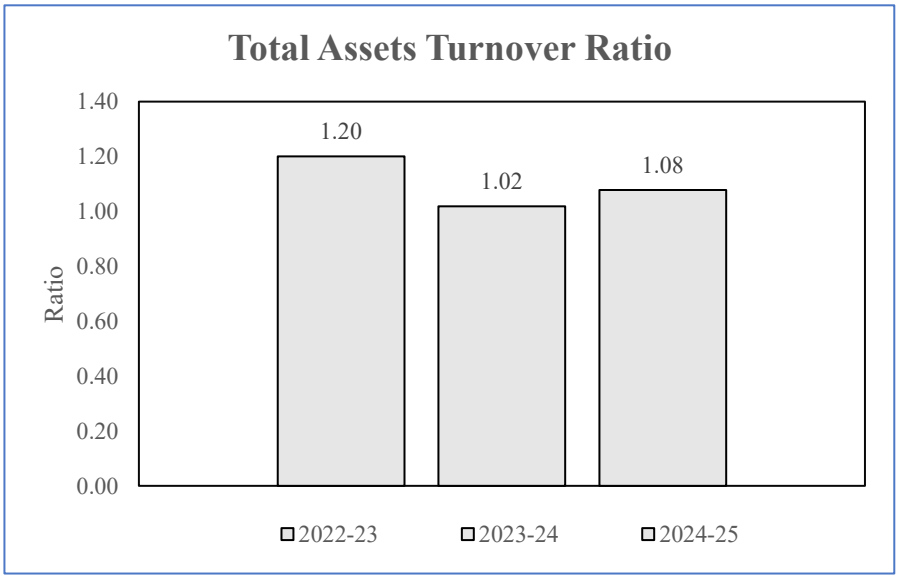


Figure 9: Total Assets Turnover Ratio

Interpretation:

As per the above table, the total assets turnover ratio as on March 31, 2025 is 1.08 x which is greater than 1.02x as on March 31, 2024 and the same is 1.20 x as on March 31,2023.

9. Inventory Turnover Ratio:

A company's inventory turnover ratio indicates how well it manages its stock, how efficiently it converts inventory into sales, how frequently it sells on-site, and how frequently it replaces inventory over a particular time frame, typically a year. Good sales, improved stock control, and minimal holding costs are all indicated by a high turnover rate. In all accounting operations, this ratio is essential for predicting, budgeting, and evaluating the health of the company.

$$\text{Inventory Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Average Inventory}}$$

Table 10: INVENTORY TURNOVER RATIO

Financial Year	Net Sales (Rs. In Lakhs)	Average Inventory (Rs. In Lakhs)	Ratio
2022-23	1,64,658.42	33,678.89	4.89
2023-24	1,52,050.81	40,294.275	3.77
2024-25	1,54,080.53	39,507.26	3.90

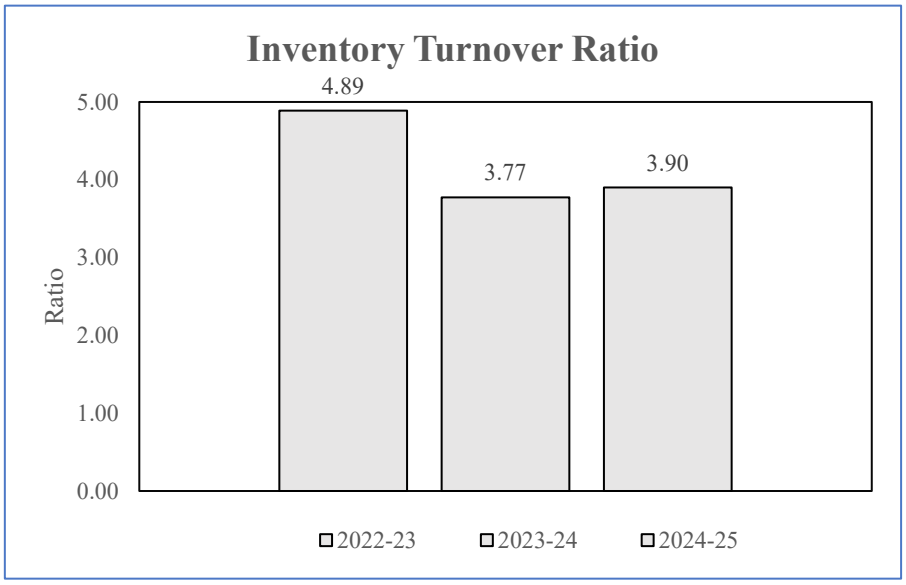


Figure 10: Inventory Turnover Ratio

Interpretation:

The following chart shows that, thanks to efficient inventory management and resource use, the Inventory Turnover Ratio for the fiscal year 2024–2025 was 3.90 times higher than it was for the fiscal year 2023–2024 and 4.89 times higher than it was for the fiscal year 2022–2023.

11. Debtors' Turnover Ratio:

Accounts Receivable is another name for the Debtors Turnover Ratio. The turnover ratio calculates how well a business collects its average amount of unpaid receivables over a given time frame. It shows how often the business turns its credit sales into cash, demonstrating how well its credit and collection procedures are working. The Debtors Turnover Ratio measures how effectively a company collects and manages payments from its customers. It helps businesses to minimize bad debts, optimize their credit practices, and keep a solid financial position in a cutthroat market.

$$\text{Debtors' Turnover Ratio:} \quad \frac{\text{Net Sales}}{\text{Average Debtors}}$$

Table 11: DEBTORS' TURNOVER RATIO

Financial Year	Net Sales	Average debtors	Ratio
	(Rs. In Lakhs)		
2022-23	1,64,658.42	13,537.20	12.16
2023-24	1,52,050.81	13,761.71	11.05
2024-25	1,54,080.53	16,216.67	9.50

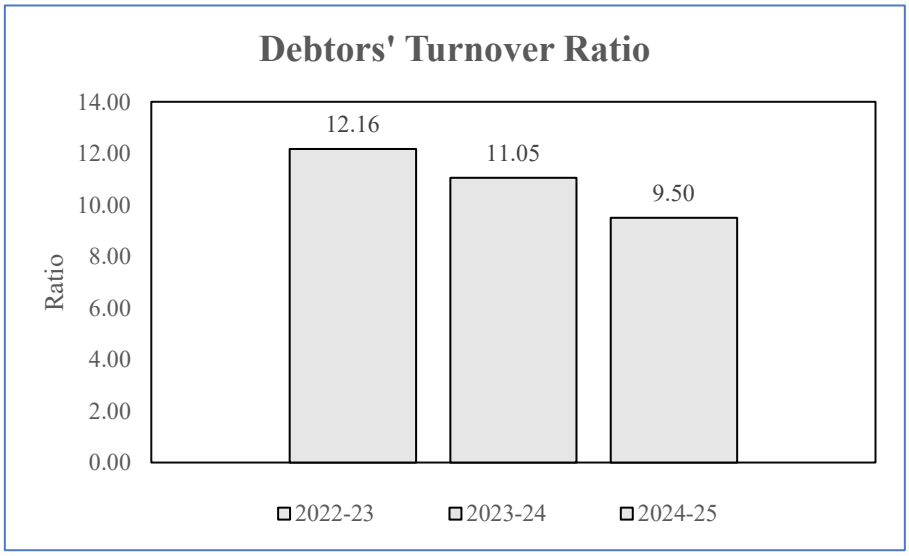


Figure 11: Debtors' Turnover Ratio

Interpretation:

The Debtors' Turnover Ratio for the fiscal year 2024–2025 is 9.50, compared to 11.05 for the fiscal year 2023–2024 and 12.16 for the fiscal year 2022–2023. This shows how well the management of liquid debtors and the sale of goods on credit can be done without compromising sales and profits.

12. Working Capital Turnover Ratio:

A financial indicator of the link between working capital and net sales, the working capital turnover ratio evaluates how well a business uses its working capital (current assets less current liabilities) to support sales. Stakeholders can better grasp how successfully a business is managing its short-term assets and obligations to produce income by looking at this ratio. A high ratio indicates that working capital is being used effectively.

$$\text{Working Capital Turnover Ratio: } \frac{\text{Net Sales}}{\text{Working Capital}}$$

Table 12: WORKING CAPITAL TURNOVER RATIO

Financial Year	Net Sales	Working capital	Ratio
	(Rs. In Lakhs)		
2022-23	1,64,658.42	21,362.67	7.71
2023-24	1,52,050.81	16,974.41	8.96
2024-25	1,54,080.53	17,116.33	9.00

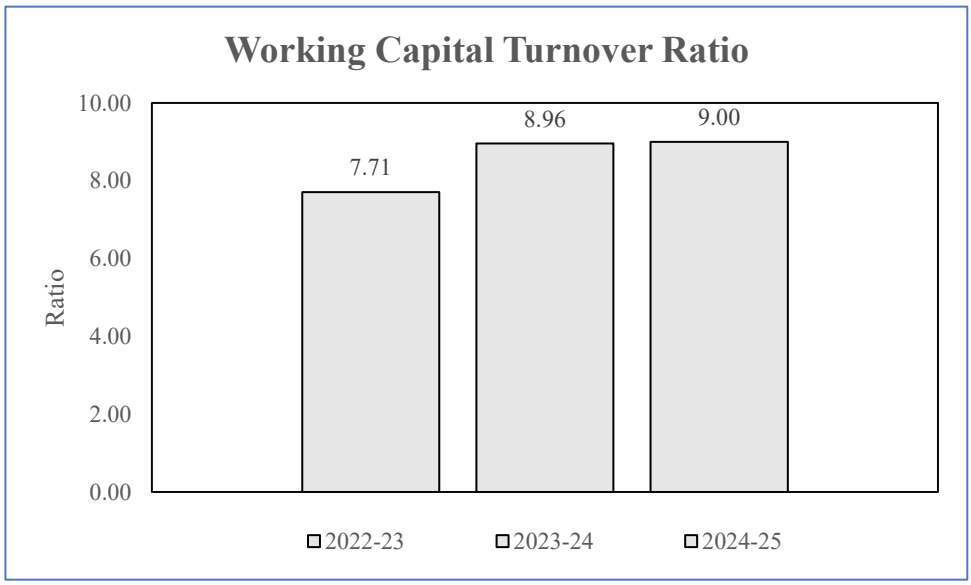


Figure 12: Working Capital Turnover Ratio

Interpretation:

According to the above table, the working capital turnover ratio for the fiscal year 2024–2025 was 9.00, down from 8.96 in the fiscal year 2023–2024. The working capital turnover ratio for the fiscal year 2022–2023 was 7.71, indicating a downward trend in payments to creditors.

13. Return on Capital Employed Ratio (ROCE):

ROCE indicates how effectively an organization creates profit and how it measures profitability after accounting for the capital it employed to earn the profitability. It is probably a measure that computes the ratio of profitability, which gauges how effectively an organization operates with its capital to earn profits in the long run. ROCE is regarded as one of a number of profitability ratios investors employ when examining an organization with respect to investing. It accounts for equity and debt capital but fails to consider short-term debt. This measure indicates whether or not the company's resources are being utilized well. The better the outcome, the higher the ratio.

$$\text{Return on Capital Employed Ratio: } \frac{\text{EBIT}}{\text{Capital Employed}}$$

Table 13: RETURN ON CAPITAL EMPLOYRED RATIO

Financial Year	EBIT	Capital employed	Ratio
	(Rs. In Lakhs)		
2022-23	9,999.12	95,072.59	0.11
2023-24	4,082.55	97,739.40	0.04
2024-25	4,556.45	93,385.13	0.05

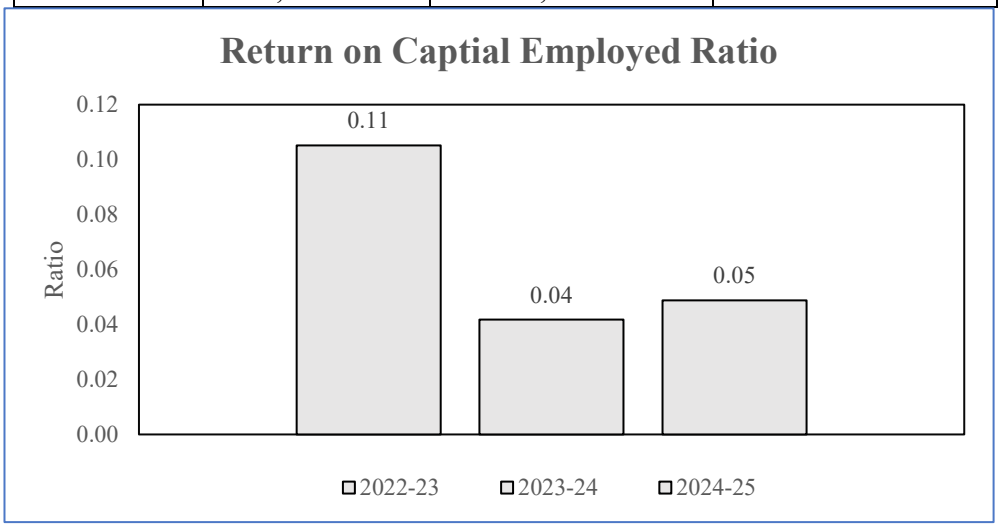


Figure 13: Return on Capital Employed Ratio

Interpretation:

The Return on Capital Employed Ratio for the fiscal year is 0.05 times higher than it was for the fiscal year 2023–2024, as the accompanying table illustrates. During the fiscal year 2022–2023, this ratio was 0.11 times, demonstrating that Visaka Industries makes the most use of its resources.

14. Return on Equity (ROE):

A financial term called return on equity (ROE) gauges how profitable a business is in comparison to the equity held by its shareholders. This rate demonstrates a company's capacity to generate profits on the investment made by its shareholders. An increased ROE valuable metric for investors to compare the company's financial performance because it suggests that the business is better at turning equity into profit.

$$\text{Return on Equity Ratio:} \quad \frac{\text{Profit After tax}}{\text{Net worth (Shareholders' Funds)}}$$

Table 14: RETURN ON EQUITY RATIO

Financial Year	Profit After Tax	Net worth	Ratio
	(Rs. In Lakhs)		
2022-23	5,479.04	77,289.84	0.07089
2023-24	253.47	75,566.57	0.00335
2024-25	14.38	75,074.48	0.00019

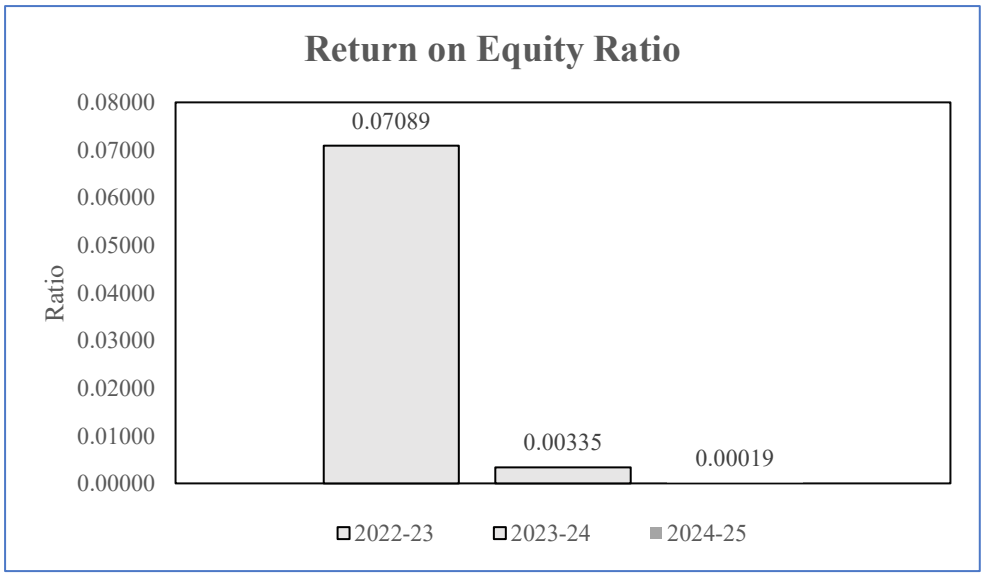


Figure 14: Return on Equity Ratio

Interpretation:

As can be seen from the above table, Return on Equity (ROE) is less during the financial year 2024-25 when compared to ROE during the financial year 2023-24 while ROE was more favourable in the financial year 2022-23.

15. Earnings Per Share:

Earnings Per Share (EPS) is a key financial metric that shows how much profit a company earns for each of its outstanding shares. It is commonly used to measure a company's profitability and compare its performance with other companies in the industry. It is calculated by subtracting preferred dividends from a company's net income and dividing the result by the total number of Ordinary Equity Shares. EPS indicates how much profit a company generates per share, making it a key measure of its overall value.

$$\text{Earnings Per Share (EPS)} \quad \frac{\text{Profit After tax}}{\text{Number of equity shares}}$$

Table 15: EARNINGS PER SHARE

Financial Year	Profit After Tax (Rs.)	No. of equity shares	EPS (Rs.)
2022-23	54,79,04,000	8,64,05,000	6.34
2023-24	2,53,47,000	8,64,05,000	0.29
2024-25	14,38,000	8,64,05,000	0.02

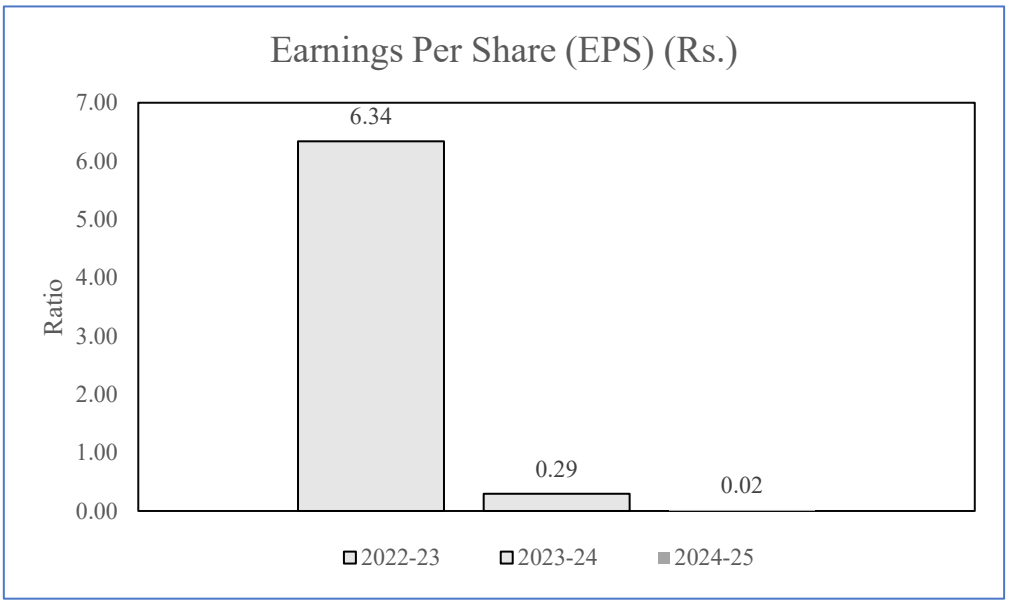


Figure 15: Earnings Per Share

Interpretation:

From the given above table, EPS as on March 31, 20225 is Re. 0.02 compared to Re. 0.29 as on March 31, 2024 and it remained higher as on March 31, 2023 with Rs. 6.34 for each equity share

16. Net Profit Margin:

One important statistic that investors utilize to determine profitability of a business and if it is worthwhile to invest in is its net profit margin. Generally speaking, a company's net profit margin would decrease if its revenue is growing but its operational expenses are rising. Potential investors may find a company more appealing if it has a strong history of increasing profit margins while lowering expenses.

$$\text{Net Profit Margin: } \frac{\text{Profit After tax}}{\text{Sales}}$$

Table 16: NET PROFIT MARGIN

Financial Year	Profit After Tax	Sales	Net Profit Margin
	(Rs. in lakhs)		
2022-23	5,479.04	1,64,658.42	0.03
2023-24	253.47	1,52,050.81	0.0017
2024-25	14.38	1,54,080.53	0.0001

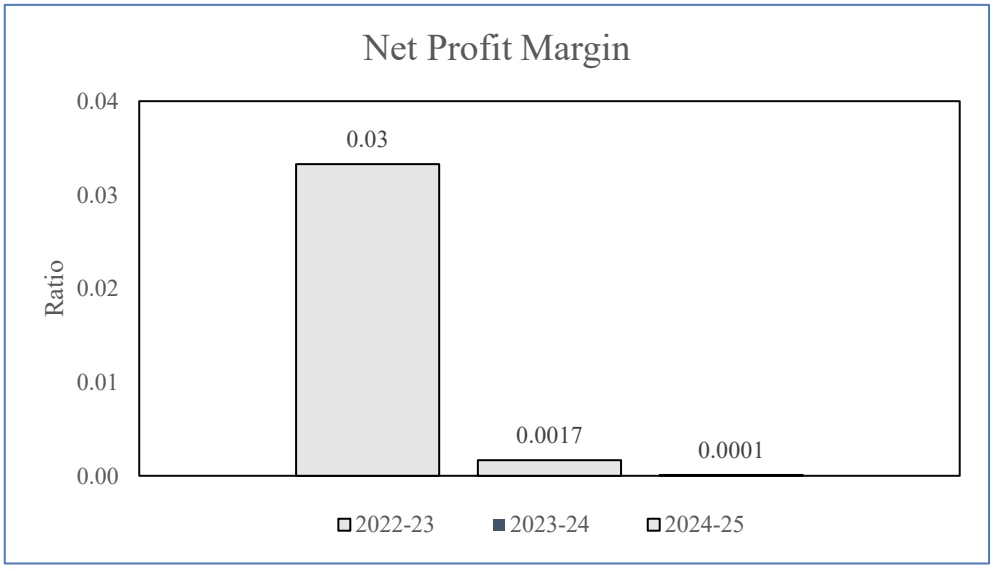


Figure 16: Net Profit Margin

Interpretation:

As can be seen from the above table, the net profit margin decreased in the fiscal year 2024–2025 compared to the fiscal year 2023–2024, while it increased in the fiscal year 2022–2023.

CHAPTER - 4
PROJECT OUTCOME

Findings

1. The current ratio for the financial year 2024-25 was 1.35:1, higher than 1.33:1 in 2023-24. This indicates a good liquidity position to handle short-term expenses and shows strong working capital. However, in 2022-23, the current ratio was 1.51:1, which was higher than both 2023-24 and 2024-25.
2. Current Ratio during the financial year 2024-25 was 1.35:1 which is better compared to 1.33:1 during the financial year 2023-24 which reflects good liquidity position to cover short-term expenses and the working capital of the Company is in good position. But during financial year 2022-23, current ratio was 1.51:1 which was better than years 2023-24 and 2024-25.
3. The Quick Ratio, although slightly lower from 0.41 during the financial year 2023-24 as compared to 0.34 during the financial year 2024-25 while it remained at 0.40 during the financial year 2022-23. The Company enjoys sound creditworthiness in the sector and can settle current liabilities without any hassle and utilizing the quick assets to the fullest.
4. The Absolute Liquid Ratio is merely 0.4:1 during the financial year 2024-25 which is less when compared to financial year 2023-24 which was 0.8:1 as compared to 0.07:1 during the financial year 2022-23.
5. The Debt Equity Ratio during the financial year 2024-25 is 0.90:1 which is above industry standards and marginally higher during the financial year 2023-24 with 0.98:1. The Debt Equity Ratio during the financial year 2022-23 was 0.77:1 only which showcases the Company's strength in shareholders' funds.
6. The solvency ratio for the fiscal year 2024–2025 was 0.47, compared to 0.49 for the fiscal year 2023–2024 and 0.44 for the fiscal year 2022–2023.
7. In the 2024–25 fiscal year, Visaka Industries Limited's interest coverage ratio was 1.03 times, compared to 1.12 times in the 2023–24 fiscal year and 4.48 times in the 2022–23 fiscal year.
8. The company has been demonstrating improved performance and use of fixed assets towards sales efficiency, as evidenced by the Fixed Assets Turnover Ratio, which is 2.02 times for the fiscal year 2024–2025 compared to 1.88 times for the fiscal year 2023–2024 and 2.23 times for the fiscal year 2022–2023.

9. The company's current assets were used efficiently during the 2024–2025 fiscal year, as evidenced by the current asset turnover ratio of 2.31 times compared to 2.22 times during the 2023–2024 fiscal year and 2.60 times during the 2022–2023 fiscal year.
10. As of March 31, 2025, the Total Assets Turnover Ratio is 1.08 times higher than it was on March 31, 2024, 1.02 times higher, and 1.20 times higher than it was on March 31, 2023.
11. Through efficient inventory management and resource use, the Inventory Turnover Ratio for the fiscal year 2024–2025 is 3.90 times, compared to 3.77 times for the fiscal year 2023–2024 and 4.89 times for the fiscal year 2022–2023.
12. The Debtors' Turnover Ratio for the fiscal year 2024–2025 is 9.50, down from 11.05 in the fiscal year 2023–2024 and 12.16 in the fiscal year 2022–2023. This shows how well the management of liquid debtors and the sale of goods on credit can be done without compromising sales and profits.
13. Working Capital Turnover Ratio during the financial year 2024-25 is 9.00 compared to 8.96 during the financial year 2023-24 and while the Working Capital Turnover Ratio during the financial year 2022-23 was 7.71 reflecting that the payment to creditors has been declining year on year.the Profitability Ratio during the financial year is 0.05 times in comparison to 0.04 times during the financial year 2023-24. This ratio was 0.11 times during the financial year 2022-23 indicating that Visaka Industries uses the resources with maximum usage.
14. Compared to the financial year 2023-24, the Return on Equity (ROE) is lower in the fiscal year 2024-25, whereas it was higher in the fiscal year 2022-23.
15. The EPS as on March 31, 20225 is Re. 0.02 compared to Re. 0.29 as on March 31, 2024 and it remained higher as on March 31, 2023 with Rs. 6.34 for each equity share.
16. In comparison to the fiscal year 2023–24, the net profit margin decreased in the fiscal year 2024–25, but it increased in the fiscal year 2022–23.

4.2 CONCLUSION

As per the financial ratio analysis of the three financial years from 2022-23 to 2024-25, it can be said that Visaka Industries Limited has consistently held a stable liquidity position with an improvement in the Current Ratio marginally and constant Quick Ratio, indicating capability to settle its Current Liabilities. However, there is a decline in Absolute Liquidity Ratio and Interest Coverage Ratio, indicating more tightened Cash Flows and less buffer to service interest. While the Debt-Equity Ratio is more than industry levels, Visaka Industries has achieved a good balance between Debt and Equity financing. Efficiency Ratios such viz. Fixed

Asset Turnover and Working Capital Turnover indicate efficient management of the firm's assets and operating efficiency. But Turnover Ratios like Debtors, Creditors, and Inventories are declining, which is a sign of potential problems in managing receivables and inventories.

Profitability declined year on year with a sharp drop in EPS, Return on Equity, and Net Profit Margin, suggesting declining returns to shareholders etc. Overall, while the company shows operational efficiency and adequate liquidity, its profitability and solvency ratios have declined, warranting strategic interventions to achieve optimum financial performance and returns on equity to shareholders.

4.3. LEARNING FROM THE PROJECT

The Project is Examining the Financial Statements of Visaka Industries Limited using Ratio Analysis.

Visaka Industries Limited produce goods viz., Asbestos roofing sheets, Fibre Cement Boards, Boards and Panels, Synthetic Yarns etc. There is no single competitor producing the same goods and thus peer comparison of the ratios is absurd and the Company's manufacturing segments belong to three industries.

The rivals according to Visaka Industries Limited are Everest Industries Limited, HIL Limited (previous – Hyderabad Industries Limited) whose common segment is cement roofing sheets alone.

Considering the above, the current ratio analysis is limited only to Visaka Industries Limited and could not be compared to industry standards, in the absence of which ratio analysis is meaningless.

Visaka Industries Limited is not providing the production, quantity wise sale of each product in the annual reports due to confidentiality and therefore unable to point out some of the ratios. But I am able to obtain the per centage of utilisation of installed capacity of each segment which has been provided for in the Report.

4.5 SUGGESTIONS:

1) The liquidity position of Visaka Industries Limited should be strengthened.
2) An increased accounts receivable can also be due to granting more credit to the customers. Although this can improve sales, it also raises the risk of cash flow insufficiency in case of delayed payments.
3) An increased work-in-progress can show inefficiencies in both the production process and finance which must be balanced to maximise the working capital.

4) The Current ratio is below industry standards and company could face difficulties in fulfilling its short-term obligations. The Company must act to better improve.

5) The company can utilize the benefit of availing more credit facilities from banks/ financial institutions in the future when they need extra funds to expand.

The Company could really need to emphasize cost reduction strategy to make it a more profitable organization.

4.6 RELEVANCE OF THE PROJECT TO THE COMPANY

Project report on Ratio Analysis was designed after reading and analysing the financial situation of Visaka Industries Limited for the previous three years. This is helpful to Visaka Industries Limited to analyse the financial situation including the recommendations made for the company's financial betterment. Measuring the inventory efficient utilization etc. was also recommended.

The SWOT also have been examined for enhancing the performance of the company. Various risks were pointed out to be mitigated which is helpful for the company as well.

BIBLIOGRAPHY

Management Accounting – R.K. Sharma & Shashi K. Gupta

Management Accounting – Khan & Jain

Financial Management – S.N. Maheshwari

Financial Management – Prasanna Chandra

Financial Management - I.M. Pandey

Website: Visaka Industries Limited as per the following links

https://visaka.co/assets/website/files/investors/OutcomeAndResults2025Q4_DSC.pdf

https://visaka.co/assets/website/files/investors/BM_OUTCOME_15052024.pdf

https://visaka.co/assets/website/files/investors/BM_OUTCOME_19052023.pdf

https://visaka.co/assets/website/files/investors/ResultsAndOutcome09052022.pdf

https://visaka.co/assets/website/files/investors/Annual-Report-2023-24.pdf

https://visaka.co/assets/website/files/investors/Creditrating_2025-Intimation-signed.pdf